



UNAUDITED FINANCIAL STATEMENTS

FOR THE PERIOD ENDED 30 JUNE 2022

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Statement of Directors' Responsibilities in Relation to the Financial Statements

The Directors of African Alliance Insurance plc are responsible for the preparation of financial statements that give a true and fair view of the financial position of the company as at 30 June 2022, and the results of its operations, cash flows and changes in equity for the period ended, in compliance with International Financial Reporting Standards ("IFRS"), and in the manner required by the Companies and Allied Matters Act of Nigeria, the Insurance Act, CAP I17 LFN 2004, relevant guidelines and circulars issued by the National Insurance Commission (NAICOM) and Financial Reporting Council Act 2011.

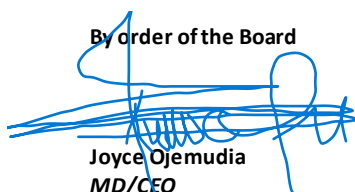
In preparing the financial statements, the Directors are responsible for:

- Properly selecting and applying accounting policies
- Presenting information, including accounting policies, in a manner that provides relevant, reliable, comparable and understandable information
- Providing additional disclosures when compliance with the specific requirements in IFRSs are insufficient to enable users to understand the impact of particular transactions, other events and conditions on the Group's and Company's financial position and financial performance; and
- Making an assessment of the Group's and Company's ability to continue as a going concern.

The Directors are responsible for:

- Designing, implementing and maintaining an effective and sound system of internal controls throughout the Group's and Company's; Maintaining adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the Group and Company, and which enable them to ensure that the Consolidated and Separate financial statements of the company comply with IFRS;
- Maintaining statutory accounting records in compliance with the legislation of Nigeria and IFRS;
- Taking such steps as are reasonably available to them to safeguard the assets of the Group and Company; and
- Preventing and detecting fraud and other irregularities

By order of the Board



Joyce Ojemudia
MD/CEO

FRC/2015/CIIN/00000012042



Olabisi Adekola
Chief Financial Officer

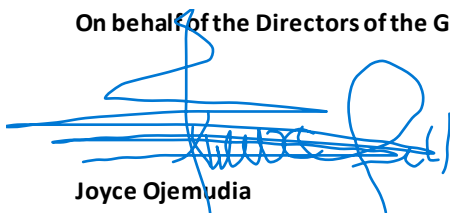
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CERTIFICATION PURSUANT TO SECTION 60(2) OF INVESTMENT AND SECURITIES ACT NO. 27 OF 2007

We the undersigned hereby certify the following with regards to our unaudited report for the period ended 30 June 2022 that:

- a. We have reviewed the report:
- b. To the best of our knowledge, the report does not contain:
 - i. Any untrue statement of a material fact, or
 - ii. Omit to state a material fact, which would make the statements, misleading in the light of circumstances under which such statements were made;
- c. To the best of our knowledge, the financial statement and other financial information included in the report fairly present in all material respects the financial condition and results of operation of the company as of, and for the periods presented in the report.
- d. We;
 - (i) Are responsible for establishing and maintaining internal controls.
 - (ii) Have designed such internal controls to ensure that material information relating to the company and its consolidated subsidiary is made known to such officers by others within those entries particularly during the period in which the periodic reports are being prepared;
 - (iii) Have evaluated the effectiveness of the company's internal controls as of date within 90 days prior to the report;
 - (iv) Have, present in the report our conclusions about the effectiveness of our internal controls based on our evaluation as of that date;
- e. We have disclosed to the auditors of the company and audit committee:
 - (i). All significant deficiency in the design or operation of internal controls which would adversely affect the company's ability to record, process, summarise and report financial data and have identified for the company's auditors any material weakness in internal controls, and
 - (ii). Any fraud, whether or not material, that involves management or other employees who have significant role in the company's internal controls.
- f. We have identified in the report whether or not there were significant changes in internal controls or other factors that could significantly affect internal controls subsequent to the date of our evaluation, including any corrective actions with regard to significant deficiencies and material weaknesses.

On behalf of the Directors of the Group and Company



Joyce Ojemudia
MD/CEO

FRC/2015/CIIN/00000012042



Olabisi Adekola
Chief Financial Officer

FRC/2013/ICAN/00000001179

Company Name:	African Alliance Insurance Plc
Board Listed:	Main Board
Year End:	December
Reporting Period:	Period End 30 June 2022
Share Price At End of Reporting Period:	N0.20 (2021: N0.20)
Shareholding Structure/Free Float Status	

Description	30-Jun-22		30-Jun-21	
	Unit	Percentage	Unit	Percentage
Issued Share Capital	20,585,000,000	100%	20,585,000,000	100%
Substantial Shareholdings (5% and above)				
Conau Limited	11,835,900,000	57.50%	11,835,900,000	57.50%
Universal Insurance Plc	1,200,000,000	5.83%	1,200,000,000	5.83%
Total Substantial Shareholding	13,035,900,000	63.33%	13,035,900,000	63.33%
Directors Shareholdings (direct and indirect) excluding directors with substantial holdings				
Dr Anthony Okocha	-	0.00%	50,000	0.00%
Mr Sylva Ogwemoh (SAN)	-	-	-	-
Mrs Funmi Omo	-	0.00%	-	0.00%
Mrs Olabisi Adekola	500,000	0.00%	500,000	0.00%
Total Directors Shareholding	500,000	0.00%	550,000	0.00%
Other Shareholdings				
African Alliance Staff Scheme	23,652,673	0.11%	23,652,673	0.11%
Total Other Shareholdings	23,652,673	0.11%	23,652,673	0.11%
Free Float in Units and Percentage	7,524,947,327	36.56%	7,524,897,327	36.56%
Free Float in Value	₦ 1,504,989,465.40		₦ 1,504,979,465.40	

Declaration:

A) African Alliance Insurance Plc with a free float percentage of 36.56% as at 30 June 2022, is compliant with the Exchange's free float requirements for companies listed on the Main Board.

B) African Alliance Insurance Plc with a free float value of N1,504,989,465.40 as at 30 June 2022, is compliant with the Exchange's free float requirements for companies listed on the Main Board.

STATEMENT OF SIGNIFICANT ACCOUNTING POLICIES

1 General Information

African Alliance Insurance Company is a public limited company incorporated and domiciled in Nigeria. The registered office is located at 54 Awolowo Road, Ikoyi, Lagos.

The Company is principally engaged in the business of providing risk underwriting for life, related financial and pension services, aviation and hospitality services to its customers.

1.2 Principal Activities

The principal business of the company is providing risk underwriting and related financial and hospitality services to its customers. Such services include provision of life insurance services to both corporate and individual customers.

The Subsidiaries activities are:

- Ghana Life Insurance Company Limited, a Life assurance company in Ghana.
- Axiom Air Limited, a cargo airline company

1.3 Components of Financial Statements

The Financial statements comprise the Consolidated and Separate Statements of Comprehensive income, Consolidated and Separate statements of Financial Position, Consolidated and Separate Statement of Changes in Equity, Consolidated and Separate Statements of Cash Flows, and the accompanying Notes.

Income and expenses (excluding the components of other comprehensive income) are recognised in the profit or loss segment of comprehensive income to arrive at the profit for the year.

Other comprehensive income is recognised in the other comprehensive segment of the statement of other comprehensive income and comprises items of income and expenses that are not recognised in the statement of profit or loss as required or permitted by IFRS.

The addition of the profit for the year and the other comprehensive income gives the total comprehensive income for the year.

Reclassification adjustments are amounts reclassified to statement of comprehensive income in the current year that were recognised in other comprehensive income in the current or previous years. Transactions with the owners of the Group in their capacity as owners are recognised in the statement of changes in equity.

1.4 Basis of preparation and measurement

The financial statements are prepared in compliance with International Financial Reporting Standards (IFRS) and the requirements of the Companies and Allied Matters Act, Insurance Act CAP I17 LFN 2004, the Financial Reporting Council of Nigeria Act 2011 and regulatory guidelines as pronounced from time to time by National Insurance Commission (NAICOM). Historical cost basis was used in preparation of the financial statements as modified by the measurement of certain items at revalued amounts as stated below:

- Property, plant and equipment at valuation
- Investment property at fair value
- Investment at fair value
- Impaired assets at their recoverable amounts

1.5 Compliance with IFRS

These financial statements have been prepared in accordance with the International Financial Reporting Standards (IFRS) and IFRS Interpretations Committee (IFRIC) Interpretations applicable to companies reporting under IFRS as issued by the International Accounting Standards Board (IASB). Additional information required by national regulations have been included where appropriate

1.6 Going Concern status

As at the period end, the company's solvency margin is below the regulatory requirement as stated in the Insurance Act CAP I17, LFN 2004.

The board of directors and management performed an assessment of its ability to continue as a going concern and is satisfied that it has the resources to continue in business for the foreseeable future. This conclusion is based on the board and executive management's plan of restructuring the assets of the Group, divesting from some of the subsidiary companies and injecting fresh capital to improve the liquidity position and upturn the current negative indices in the financials statement with respect to shareholders fund, asset cover and solvency margin to positive position in the shortest time.

1.7 Significant judgements and key sources of estimation uncertainty

In the process of applying the accounting policies adopted by the Group, the Directors make certain judgements. The preparation of the Group's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities and the disclosure of contingent liabilities, at the reporting date. However, uncertainty about these assumptions and estimates could result in outcomes that could require a material adjustment to the carrying amount of the asset or liability affected in the future. These factors should include:

The judgements made by the directors in the process of applying the Group's accounting policies that have the most significant effect on the amounts recognised in the financial statements include:

- **Claims arising from insurance contracts**
Liabilities for unpaid claims are estimated on a case by case basis. The liabilities recognised for claims fluctuate based on the nature and severity of the claim reported. Claims incurred but not reported are determined using statistical analyses and the Group deems liabilities reported as adequate.
Key judgment areas include: assumptions and estimate in respect of interest rate, expenses inflation, consumer price index.
- **Fair value of unquoted equity financial instruments**
The fair value of financial instruments where no active market exists or where quoted prices are not otherwise available are determined by using valuation techniques. In these cases, the fair values are estimated from observable data using valuation models.
- **Taxation**
Whether it is probable that future taxable profits will be available against which temporary differences can be utilized

1.8 Functional and presentation currency

The consolidated financial statements are presented in Nigerian Naira (Naira), rounded to the nearest thousand, this is also the functional currency of the Group.

1.9 Presentation of financial statements

The Group presents its statements of financial position broadly in order of liquidity. An analysis regarding recovery or settlement within twelve months after the reporting date (current) and more than 12 months after the reporting date (non-current) is presented in the Notes.

2.0 Changes in accounting policy and disclosures

New and amended standards and interpretations

New and amended standards adopted and interpretations

The Company applied for the first time, certain standards, and amendments, which are effective for annual periods beginning on or after 1 January 2021. Their adoption has not had any material impact on the disclosures or on the amounts reported in these financial statements.

In the current year, IASB published the Phase 2 amendments Interest Rate Benchmark Reform Amendments to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16. Adopting these amendments enables the Company to reflect the effects of transitioning from interbank offered rates (IBOR) to alternative benchmark interest rate (also referred to as 'risk free' or RFRs) without giving rise to accounting impacts that would not provide useful information to users of financial statements.

The amendments are relevant for the following types of hedging relationships and financial instruments of the Company, all of which extend beyond 2021:

Fair value hedges where LIBOR-linked derivatives are designated as a fair value hedge of fixed rate debt in respect of the GBP LIBOR risk component

This standard does not apply to the Company in the current financial year.

Covid-19-Related Rent Concessions beyond 30 June 2021 Amendments to IFRS 16

"In March 2021, the Board amended the conditions of the practical expedient in IFRS 16 that provides relief to lessees from applying the IFRS 16 guidance on lease modifications to rent concessions arising as a direct consequence of the covid-19 pandemic. As a practical expedient, a lessee may elect not to assess whether a covid-19 related rent concession from a lessor is a lease modification. A lessee that makes this election accounts for any change in lease payments resulting from the covid-19 related rent concession the same way it would account for the change under IFRS 16, if the change were not a lease modification.

New and revised IFRS Standards in issue but not yet effective

A number of standards, interpretations and amendments thereto, had been issued by the IASB which are effective but do not impact on these financial statements as summarized in the table below:

Pronouncement	Nature of change
IFRS 17 (including the June 2020)	IFRS 17 establishes the principles for the recognition, measurement, presentation and disclosure of insurance contracts and supersedes IFRS 4 Insurance Contracts.
Amendments to IFRS 10 Consolidated Financial Statements and IAS 28 Investments in Associates and Joint Ventures—Sale or Contribution of Assets between an Investor and its Associate or Joint Venture	The amendments to IFRS 10 and IAS 28 deal with situations where there is a sale or contribution of assets between an investor and its associate or joint venture. Specifically, the amendments state that gains or losses resulting from the loss of control of a subsidiary that does not contain a business in a transaction with an associate or a joint venture that is accounted for using the equity method, are recognised in the parent's profit or loss only to the extent of the unrelated investors' interests in that associate or joint venture. Similarly, gains and losses resulting from the remeasurement of investments retained in any former subsidiary (that has become an associate or a joint venture that is accounted for using the equity method) to fair value are recognised in the former parent's profit or loss only to the extent of the unrelated investors' interests in the new associate or joint venture. The effective date of the amendments has yet to be set by the Board; however, earlier application of the amendments is permitted. The directors of the Company anticipate that the application of these amendments may have an impact on the Group's consolidated financial statements in future periods should such transactions arise.
Amendments to IAS 1 Presentation of Financial Statements -	The amendments to IAS 1 affect only the presentation of liabilities as current or non-current in the statement of financial position and not the amount or timing of recognition of any asset, liability, income or expenses, or the information disclosed about those items.

Amendments to IFRS 3 Business Combinations - Reference to the Conceptual Framework	The amendments update IFRS 3 so that it refers to the 2018 Conceptual Framework instead of the 1989 Framework. They also add to IFRS 3 a requirement that, for obligations within the scope of IAS 37, an acquirer applies IAS 37 to determine whether at the acquisition date a present obligation exists as a result of past events. For a levy that would be within the scope of IFRIC 21 Levies, the acquirer applies IFRIC 21 to determine whether the obligating event that gives rise to a liability to pay the levy has occurred by the acquisition date.
Amendments to IAS 16 Property, Plant and Equipment - Proceeds before Intended Use	The amendments prohibit deducting from the cost of an item of property, plant and equipment any proceeds from selling items produced before that asset is available for use, i.e. proceeds while bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management. Consequently, an entity recognises such sales proceeds and related costs in profit or loss. The entity measures the cost of those items in accordance with IAS 2 Inventories. The amendments also clarify the meaning of 'testing whether an asset is functioning properly'. IAS 16 now specifies this as assessing whether the technical and physical performance of the asset is such that it is capable of being used in the production or supply of goods or services, for rental to others, or for administrative purposes.
Amendments to IAS 37 Provisions, Contingent Liabilities and Contingent Assets -	The amendments specify that the 'cost of fulfilling' a contract comprises the 'costs that relate directly to the contract'. Costs that relate directly to a contract consist of both the incremental costs of fulfilling that contract (examples would be direct labour or materials) and an allocation of other costs that relate directly to fulfilling
Annual Improvements to IFRS Standards	The Annual Improvements include amendments to four Standards:
Amendments to IAS 1 Presentation of Financial Statements and IFRS Practice Statement 2 Making Materiality Judgements—Disclosure of Accounting Policies	The amendments change the requirements in IAS 1 with regard to disclosure of accounting policies. The amendments replace all instances of the term 'significant accounting policies' with 'material accounting policy information'. Accounting policy information is material if, when considered together with other information included in an entity's financial statements, it can reasonably be expected to influence decisions that the primary users of general purpose financial statements make on the basis of those financial statements. The supporting paragraphs in IAS 1 are also amended to clarify that accounting policy information that relates to immaterial transactions, other events or conditions is immaterial and need not be disclosed. Accounting policy information may be material because of the nature of the related transactions, other events or conditions, even if the amounts are immaterial. However, not all accounting policy information relating to material transactions, other events or conditions is itself material. The Board has also developed guidance and examples to explain and demonstrate the application of the 'four-step materiality process' described in IFRS Practice Statement 2. The amendments to IAS 1 are effective for annual periods beginning on or after 1 January 2023, with earlier application permitted and are applied prospectively. The amendments to IFRS Practice Statement 2 do not contain an effective date or transition requirements.
Amendments to IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors—Definition of Accounting Estimates	The amendments replace the definition of a change in accounting estimates with a definition of accounting estimates. Under the new definition, accounting estimates are "monetary amounts in financial statements that are subject to measurement uncertainty". The definition of a change in accounting estimates was deleted. However, the Board retained the concept of changes in accounting estimates in the Standard with the following clarifications: • A change in accounting estimate that results from new information or new developments is not the correction of an error • The effects of a change in an input or a measurement technique used to develop an accounting estimate are changes in accounting estimates if they do not result from the correction of prior period errors
Amendments to IAS 12	The amendments introduce a further exception from the initial recognition exemption. Under the

Income Taxes—Deferred Tax related to Assets and Liabilities arising from a Single Transaction	amendments, an entity does not apply the initial recognition exemption for transactions that give rise to equal taxable and deductible temporary differences. Depending on the applicable tax law, equal taxable and deductible temporary differences may arise on initial recognition of an asset and liability in a transaction that is not a business combination and affects neither accounting nor taxable profit. For example, this may arise upon recognition of a lease liability and the corresponding right-of-use asset applying IFRS 16 at the commencement date of a lease. Following the amendments to IAS 12, an entity is required to recognise the related deferred tax asset and liability, with the recognition of any deferred tax asset being subject to the recoverability criteria in IAS 12. The Board also adds an illustrative example to IAS 12 that explains how the amendments are applied. The amendments apply to transactions that occur on or after the beginning of the earliest comparative period presented. In addition, at the beginning of the earliest comparative period an entity recognises: • A deferred tax asset (to the extent that it is probable that taxable profit will be available against which the deductible temporary difference can be utilised) and a deferred tax liability for all deductible and taxable temporary differences associated with: – Right-of-use assets and lease liabilities – Decommissioning, restoration and similar liabilities and the corresponding amounts recognised as part of the cost of the related asset • The cumulative effect of initially applying the amendments as an adjustment to the opening balance of retained earnings (or other component of equity, as appropriate) at that date. The amendments are effective for annual reporting periods beginning on or after 1 January 2023,
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Significant accounting policies

The Company has consistently applied the following accounting policies to all periods presented in these financial statements.

2.1 Consolidation

2.1.1 Subsidiaries

Subsidiaries are all entities (including structured entities) over which the Group has control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

The Group applies the acquisition method to account for business combinations. The consideration transferred for the acquisition of a subsidiary is the fair values of the assets transferred, the liabilities incurred to the former owners of the acquiree and the equity interests issued by the Group. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. The Group recognises any non-controlling interest in the acquiree on an acquisition-by-acquisition basis, either at fair value or at the non-controlling interest's proportionate share of the recognised amounts of acquiree's identifiable net assets.

Acquisition-related costs are expensed as incurred.

If the business combination is achieved in stages, the acquisition date carrying value of the acquirer's previously held equity interest in the acquiree is re-measured to fair value at the acquisition date; any gains or losses arising from such re-measurement are recognised in profit or loss.

Any contingent consideration to be transferred by the Group is recognised at fair value at the acquisition date. Subsequent changes to the fair value of the contingent consideration that is deemed to be an asset or liability is recognised in accordance with IAS 39 either in profit or loss or as a change to other comprehensive income. Contingent consideration that is classified as equity is not re-measured, and its subsequent settlement is accounted for within equity.

Inter-company transactions, balances and unrealised gains on transactions between Group companies are eliminated. Unrealised losses are also eliminated. When necessary, amounts reported by subsidiaries have been adjusted to conform with the Group's accounting policies.

2.1.2 Changes in ownership interests in subsidiaries without change of control

Transactions with non-controlling interests that do not result in loss of control are accounted for as equity transactions – that is, as transactions with the owners in their capacity as owners. The difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

2.1.3 Disposal of subsidiaries

When the group ceases to have control, any retained interest in the entity is remeasured to its fair value at the date when control is lost, with the change in carrying amount recognised in profit or loss. The fair value is the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset. In addition, any amounts previously recognised in other comprehensive income in respect of that entity are accounted for as if the group had directly disposed of the related assets or liabilities. This may mean that amounts previously recognised in other comprehensive income are reclassified to profit or loss.

2.2 Foreign currencies

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the income statement, except when deferred in equity as qualifying cash flow hedges and qualifying net investment hedges. Foreign exchange gains and losses that relate to borrowings and cash and cash equivalents are presented in the income statement within 'other income'.

All other foreign exchange gains and losses are presented in the income statement within 'Other income' or 'Other expenses'. Changes in the fair value of monetary securities denominated in foreign currency classified as available for sale are analysed between translation differences resulting from changes in the amortised cost of the security, and other changes in the carrying amount of the security.

Translation differences related to changes in amortised cost are recognised in profit or loss; other changes in carrying amount are recognised in equity. Translation differences on financial assets and liabilities held at fair value through profit and loss are reported as part of the fair value gain or loss. Translation differences on non-monetary financial assets such as equities classified as fair value through other comprehensive income financial assets are included in the fair value reserve in equity.

2.3 Financial assets

The Group classifies its financial assets into the following categories: fair value through profit or loss, fair value through other comprehensive income and amortized cost. The classification is determined by management at initial recognition and depends on the objective of the business model.

2.3.1 Classification and Measurements

Financial assets are classified and measured at initial recognition at fair value, including directly attributable transaction cost. Subsequent measurement is based on the business model objective of managing the assets as well as the cashflow characteristics of the asset.

- **Business Model Assessment**

Business model assessment involves determining if financial assets are managed in order to generate cash flows from collection of contractual cash flows, selling financial assets or both. The Group assesses business model at a portfolio level which reflects how the assets are managed together to achieve a particular business objective.

- **Financial assets at fair value through profit and loss**

Financial assets will be measured at fair value through the income statement if they do not meet the business model criteria of either "Hold to collect" or "Hold to collect and sell". All equity instruments and similar securities (unless designated at inception to fair value through other comprehensive income); and all derivatives are measured at fair value through profit or loss. An entity have the option to designate a financial asset as measured at fair value through profit or loss if doing so eliminates or significantly reduces an accounting mismatch.

- **Financial assets at fair value through other comprehensive income**

Financial assets will be measured at fair value through other comprehensive income if they are held within a business model where the objective is achieved by both collecting contractual cash flows and selling financial assets ("Hold to collect and sell"), and their contractual cash flows represent solely payments of principal and interest.

2.3.2 Financial assets measured at amortized cost

Financial assets are measured at amortized cost if they are held within a business model whose objective is to hold for

2.4 Trade receivables

Trade, reinsurance and other receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. After initial recognition these are measured at amortised cost using the effective interest method, less provision for impairment. Discounting is omitted where the effect of discounting is immaterial.

Individually significant receivables are considered for impairment when they are past due or when other objective evidence is received that a specific counterparty will default. Trade receivables arising from insurance contracts are stated after deducting allowance made for specific debts considered doubtful of recovery. Impairment of trade receivables are presented within other operating expenses.

Trade and Other receivables amounts are short-term. The net carrying value of trade receivables is considered a reasonable approximation of fair value. Trade receivables are reviewed at every reporting period for impairment.

Other receivables and prepayments

Other receivables balances include dividend receivable, intercompany balances and accrued investment income. The Company has an internal system of assessing the credit quality of other receivables through established policies and approval systems. The Company constantly monitors its exposure to their receivables via periodic review.

Prepayments are essentially prepaid rents and prepaid employee benefits. Other receivables and prepayments are carried at cost less accumulated amortisation and impairment losses.

2.4.1 Recognition and measurement

Financial assets are initially recognised at fair value plus, in the case of all financial assets not carried at fair value through profit and loss, transaction costs that are directly attributable to their acquisition. Financial assets carried at fair value through profit and loss are initially recognised at fair value, and transaction costs are expensed in the statement of comprehensive income. Financial assets are derecognised when the rights to receive cash flows from them have expired or where they have been transferred and the Group has also transferred substantially all risks and rewards of ownership.

Financial assets at fair value through other comprehensive income and financial assets at fair value through profit and loss are subsequently carried at fair value. Other financial assets are carried at amortised cost using the effective interest method.

Gains and losses arising from changes in the fair value of the 'financial assets at fair value through profit and loss' category are included in the income statement in the period in which they arise. Dividend income from financial assets at fair value through profit and loss is recognised in the statement of comprehensive income as part of Investment income when the Group's right to receive payments is established.

Interest on financial assets fair value through other comprehensive income calculated using the effective interest method is recognised in the income statement. Dividends on equity instruments fair value through other comprehensive income are recognised in the income statement when the Group's right to receive payments is established. Both are included in the investment income line.

2.4.2 Determination of fair value

For financial instruments traded in active markets, the determination of fair values of financial assets and financial liabilities is based on quoted market prices or dealer price quotations. This includes listed equity securities and quoted debt instruments on major exchanges. The quoted market price used for financial assets held by the Group is the current bid price.

A financial instrument is regarded as quoted in an active market if quoted prices are readily and regularly available from an exchange, dealer, broker, industry, company, pricing service or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis. If the above criteria are not met, the market is regarded as being inactive. Indications that a market is inactive are when there is a wide bid - offer spread or significant increase in the bid - offer spread or there are few recent transactions.

For all other financial instruments, fair value is determined using valuation techniques. In these techniques, fair values are estimated from observable data in respect of similar financial instruments, using models to estimate the present value of expected future cash flows or other valuation techniques, using inputs (for example, NIBOR, MPR etc.) existing at the dates of the statement of financial position.

The Group uses widely recognised money market rates in determining fair values of non-standardised financial instruments of lower complexity like placements, and treasury bills. These financial instruments models are generally market observable. The carrying value less impairment provision of trade receivables and payables are assumed to approximate their fair values.

The fair value of financial liabilities for disclosure purposes is estimated by discounting the future contractual cash flows at the current market interest rate that is available to the Group for similar financial instruments. In cases where the fair value of unlisted equity instruments cannot be determined reliably, the instruments are carried at cost less any impairments. The fair value for loans and receivables as well as liabilities to banks and customers are determined using a present value model on the basis of contractually agreed cash flows, taking into account credit quality, liquidity and costs. The fair values of contingent liabilities and irrevocable loan commitments correspond to their carrying amounts.

2.4.3 De-recognition of financial instruments

The Group derecognises a financial asset only when the contractual rights to the cash flows from the asset expire or it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another entity. If the Group neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Group recognises its retained interest in the asset and an associated liability for amounts it may have to pay. If the Group retains substantially all the risks and rewards of ownership of a transferred financial asset, the Group continues to recognise the financial asset and also recognises a collateralised borrowing for the proceeds received.

2.4.4 Reclassification of financial assets

For financial assets, reclassification is required between FVTPL, FVTOCI and amortised cost; if and only if the entity's business model objective for its financial assets changes so its previous business model assessment would no longer apply.

IFRS 9 does not allow reclassification:

If an entity reclassifies a financial asset, it is required to apply the reclassification prospectively from the reclassification date, defined as the first day of the first reporting period following the change in business model that results in the entity reclassifying financial assets. Previously recognised gains, losses (including impairment gains or losses) or interest are not restated.

2.4.5 Impairment of asset

Financial assets carried at amortized cost and FVTOCI

The IFRS 9 impairment model is applicable to all financial assets at amortized cost, and debt instruments measured at fair value through other comprehensive income. IFRS 9 replaces the 'incurred loss' model (IAS 39) with an Expected Credit Loss ('ECL') model, resulting in earlier recognition of credit losses compared with IAS 39. Expected credit losses are the unbiased probability weighted average credit losses determined by evaluating a range of possible outcomes and future economic conditions. The ECL model has three stages.

Stage 1: As soon as a financial instrument is originated or purchased, an entity is required to recognize a 12 month expected credit loss in profit or loss and a loss allowance is established. For financial assets, interest revenue is calculated on the gross carrying amount (i.e. without deduction for expected credit losses).

Stage 2: if the credit risk increases significantly and is not considered low, a full lifetime expected credit loss is recognized in profit or loss. The calculation of interest revenue is the same as for stage 1 above.

No impairment reserve is set on financial assets measured at fair value through profit and loss.

2.4.6 Financial liabilities

Financial liabilities are classified into one of the following measurement categories:

- i Amortized cost,
- ii Fair Value through Profit or Loss (FVTPL)

- Financial Liabilities at fair value through profit or loss

Financial liabilities accounted for at fair value through profit or loss fall into two categories: financial liabilities held for trading and financial liabilities designated at fair value through profit or loss on inception. However, for financial liabilities designated at fair value through profit or loss, gains or losses attributable to changes in own credit risk are presented in Other Comprehensive Income.

- Financial Liabilities at amortized cost

Financial liabilities that are not classified at fair value through profit or loss fall into this category and are measured at amortized cost using the effective interest rate method.

2.4.7 Offsetting financial instruments

Financial assets and liabilities are offset and the net amount reported in the statement of financial position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously.

Cash and cash equivalents

Cash and cash equivalents include cash in hand, bank and call deposits and other short-term highly liquid investments with original maturities of three months or less, which are subject to insignificant risk of changes in their fair value and used by the Company to manage its short-term commitments. Cash and cash equivalents are measured at amortised cost in the statement of financial position.

2.5 Trade receivables and payables related to insurance contracts

Receivables and payables are recognised when due. These include amounts due to and from agents, brokers and insurance contract holders.

If there is objective evidence that the insurance receivable is impaired, the Group reduces the carrying amount of the insurance receivable accordingly and recognises that impairment loss in the income statement.

Trade and other payables

Trade payables

Trade payables are recognised when due. These include amounts due to agents, reinsurers, co-assurers and insurance contract holders. Trade payables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method. The fair value of a non-interest-bearing liability is its discounted repayment amount. If the due date is less than one year, discounting is not applied.

Accruals and other payables

Other payables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method. The fair value of a non-interest-bearing liability is its discounted repayment amount. If the due date is less than one year, discounting is not applied.

2.6 Reinsurance

The Group cedes insurance risk in the normal course of business for all of its businesses.

2.6.1 Reinsurance assets

Reinsurance assets represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision or settled claims or insurance contract liabilities associated with the reinsurers policies and are in accordance with the related reinsurance contract. Reinsurance assets are reviewed for impairment at each reporting date or more frequently when an indication of impairment arises during the reporting year. Impairment occurs when there is objective evidence as a result of an event that occurred after initial recognition of the reinsurance asset that the Group may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the Group will receive from the reinsurer. The impairment loss recorded in the statement of profit or loss and other comprehensive income.

Gains or losses on buying reinsurance are recognised in the income statement immediately at the date of purchase and are not amortised. Ceded reinsurance arrangements do not relieve the Group from its obligation to policy holders.

2.6.2 Reinsurance Liabilities

Reinsurance liabilities are primarily premiums payable for reinsurance contracts and are recognised as an expense when due. The Group has the right to set-off re-insurance payables against amount due from re-insurance and brokers in line with the agreed arrangement between both parties.

2.7 Deferred Policy Acquisition Costs (DAC)

Acquisition cost comprise all direct and indirect costs arising from the writing of Life insurance contracts. Deferred acquisition costs represent a proportion of commission which are incurred during a financial year and are deferred to the extent that they are recoverable out of future revenue margins. It is calculated by applying to the acquisition expenses that ratio of unearned premium to written premium.

2.8 Investment in Associates

As associate is an entity over which the Group has significant influence and that is neither a subsidiary nor an interest in a joint venture. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control over those policies.

The results and assets and liabilities of associates are incorporated in these consolidated financial statements using the equity method accounting, except when the investment is classified as held for sale, in which case it is accounted for in accordance with IFRS 5 - Noncurrent Asset Held for Sale and Discontinued Operations. Under the equity method, an investment in an associate is initially recognised in the consolidated and separate statement of financial position at cost and adjusted thereafter to recognize the Group's share of the profit or loss and other comprehensive income of the associate. When the Any excess of the cost of acquisition over the Group's share of the net fair value of the identifiable assets, liabilities and contingent liabilities of an associate recognised at the date of acquisition is recognised as goodwill, which is included within the carrying amount of the investment. Any excess of the Group's share of the net fair value of the identifiable assets, liabilities and contingent liabilities over the cost of acquisition, after reassessment, is recognised immediately in profit or loss.

The requirements of IAS 39 are applied to determine whether it is necessary to recognize any impairment loss with respect to the Group's investment in an associate. When necessary, the entire carrying amount of the investment (including goodwill) is tested for impairment in accordance with IAS 36 Impairment of Assets as a single asset by comparing its recoverable amount (higher of value in use and fair value less costs to sell) with its carrying amount. Any impairment loss recognised forms part of the carrying amount of the investment. Any reversal of that impairment loss is recognised in accordance with IAS 36 to the

When a group entity transacts with its associate, profits and losses resulting from the transactions with the associate are recognised in the Group's consolidated financial statements only to the extent of interests in the associate that are not related to the Group.

2.9 Investment Properties

Investment property is property held on earn rentals or for capital appreciation or both. Investment property, including interest in leasehold land, is initially recognised at cost including the transaction costs. Subsequently, investment property is carried at fair value representing the open market value at the statement of financial position date determined by annual valuation carried out by external registered valuer's. gains or losses arising from changes in the fair value are included in determining the profit or loss for the year to which they relate. Investment properties are derecognized when either they have been disposed or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. On disposal of an investment property, the difference between the disposal proceeds and the carrying amount is charged or credited to profit or loss.

Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner occupied property, the deemed cost for subsequent accounting is the fair value at the date of change in use. If owner occupied property becomes an investment property, the Group accounts for such property in accordance with the policy stated under property and equipment up to the date of the change in use.

When the Group completes the construction or development of a self-constructed investment property, any difference between the fair value of the property at that date and its previous carrying amount is recognised in the income statement.

2.10 Intangible Assets

Software license costs and computer software that is not an integral part of the related hardware are initially recognised at cost, and subsequently carried at cost less accumulated amortization and accumulated impairment losses. Costs that are directly attributable to the production of identifiable computer software products controlled by the Group are recognised as intangible assets.

Amortization is calculated using the straight line method to write down the cost of each license or item of software to its residual value over its estimated useful life.

Amortization begins when the asset is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by management, even when idle. Amortization ceases at the earlier date that the asset is classified as held for sale and the date that the asset is derecognized and ceases temporarily, while the residual value exceeds or is equal to the carrying value.

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the income statement when the asset is derecognized.

Intangibles recognised as assets are amortized over their useful lives, which does not exceed five years.

2.11 Property, Plant and Equipment

All categories of property and equipment are initially recognised at cost. Cost includes expenditure directly attributable to the acquisition of the assets. Computer software, including the operating system that is an integral part of the related hardware is capitalized as part of the computer equipment

Work in progress owner-occupied property that are included in property, plant and equipment are stated at cost to date and are not yet de-componentised as the asset has not been put into use.

Subsequent cost is included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. Repairs and maintenance expenses are charged to the income statement in the year in which they are incurred.

Increases in the carrying amount arising on revaluation are recognised in other comprehensive income and accumulated in equity under the heading of revaluation surplus. Decreases that offset previous increases of the same asset are recognised in other comprehensive income. All other decreases are charged to the statement of profit or loss.

Freehold land is not depreciated. Depreciation is calculated using the straight line method to write down the cost or the revalued amount of each asset to its residual value over its estimated useful life using the following annual rates:

land	0%
Buildings	2%
Motor Vehicles	25%
Computer Equipment	20%
Furniture & Fittings	10%
Office Equipment	10%
Plant & Machinery	10%
Aircraft (Componentized)§ Aircraft Engines	4%
Airframes (Body)	3%
Landing gears	10%
APU, Avionic & other electronic parts	15%

Depreciation on an item of property, plant and equipment commences when it is available for use and continues to depreciate until it is derecognized, even if during that period the item is idle. Depreciation of an item ceases when the item is retired from active use and is being held for disposal

Where no parts of items of property, plant and equipment have a cost that is significant in relation to the total cost of the item, the same rate of depreciation is applied to the whole item.

On an annual basis, the assets' residual values, depreciation method and useful lives are reviewed, and adjusted if appropriate, at each statement of financial position date.

An item of property and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal.

Gains and losses on disposal of property and equipment are determined by reference to their carrying amounts and are taken into account in determining operating profit.

2.12 Leases

Based on the accounting policy applied the Company recognizes a right-of-use asset and a lease liability at the commencement date of the contract for all leases conveying the right to control the use of an identified assets for a period. The commencement date is the date on which a lessor makes an underlying asset available for use by a lessee.

The right-of-use assets are initially measured at cost, which comprises:

- the amount of the initial measurement of the lease liability;
- any lease payments made at or before the commencement date, less any lease incentives;
- any initial direct costs incurred by the bank;
- an estimate of costs to be incurred by the lessee in dismantling and removing the underlying assets or restoring the site on which the assets are located.

After the commencement date the right-of-use assets are measured at cost less any accumulated depreciation and any accumulated impairment losses and adjusted for any re-measurement of the lease liability.

Depreciation is calculated using the straight-line method over the estimated useful lives of the leased asset

The lease liability is initially measured at the present value of the lease payments that are not paid at that date. These include:

- fixed payments, less any lease incentives receivable;
- variable lease payments that depend on a rate, initially measured using the rate as at the commencement date;
- amounts expected to be payable by the company under residual value guarantees;
- the exercise price of a purchase option if the company is reasonably certain to exercise that option.

The lease payments are discounted using the company's incremental borrowing rate or the rate implicit in the lease contract.

2.13 Statutory Deposits

Statutory Deposit represents 10% of the paid up capital of the Company deposited with the Central Bank of Nigeria (CBN) pursuant to Section 10(3) of the Insurance Act CAP I17 LFN 2004.

Statutory deposits are cash balances held with the Central Bank of Nigeria (CBN) in compliance with the Insurance Act, CAP 117, Laws of the Federation of Nigeria, 2004 for the life insurance companies. The deposits are only available as a last resort to the Company if it goes into liquidation. Statutory deposits are measured at amortised cost.

2.14 Hypothecation of assets

The Company structured its assets to meet the requirements of the Insurance Act 2003 such that policy holder's assets and funds are not co-mingled with shareholders'. In particular, investment properties, investment securities (equities and fixed income securities) and insurance funds hypothecated to policyholders are distinguished from those owned by the shareholders.

Insurance contract liabilities

2.15 Insurance Liabilities

The Group issues contracts that transfer insurance risk or financial risk or both. Insurance contracts are those contracts that transfer significant insurance risk. Such contracts may also transfer financial risk.

Life insurance policy claims received up to the last day of each financial period and claims incurred but not reported (IBNR) are provided for and included in the policy liabilities. Past claims experience is used as the basis for determining the extent of the IBNR claims.

Income from reinsurance policies is recognised concurrently with the recognition of the related policy benefit. Insurance liabilities are presented without offsetting them against related reinsurance assets.

Insurance liabilities are retained in the statement of financial position until they are discharged or cancelled and/or expire. The Group performs a liability adequacy test to determine the recognised insurance liabilities and an impairment test for reinsurance assets held at each reporting date.

2.15.1 Classification of contracts

A contract is classified as an insurance contract where the Group accepts significant insurance risk by agreeing with the policyholder to pay benefits if a specified uncertain future event (the insured event) adversely affects the policyholder or other beneficiary. Significant insurance risk exists where it is expected that for the duration of the policy or part thereof, policy benefits payable on the occurrence of the insured event will exceed the amount payable on early termination, before allowance for expense deductions at early termination. Once a contract has been classified as an insurance contract, the classification remains unchanged for the remainder of its lifetime, even if the insurance risk reduces significantly during this period.

2.15.2 Recognition and measurement

- **Short-term insurance contracts**

Short-duration life insurance contracts protect the Group's customers from the consequences of events (such as death or disability) that would affect the ability of the customer or his/her dependents to maintain their current level of income. They are usually short-duration life insurance contracts ranging between 12 to 24 months period of coverage. Guaranteed benefits paid on occurrence of the specified insurance event are either fixed or linked to the extent of the economic loss suffered by the policyholder.

For all these contracts, premiums are recognised as revenue (earned premiums) proportionally over the period of coverage. The portion of premium received on in-force contracts that relates to unexpired risks at the balance sheet date is reported as the unearned premium liability. Premiums are shown before deduction of commission and are gross of any taxes or duties levied on premiums.

Claims and loss adjustment expenses are charged to income as incurred based on the estimated liability for compensation owed to contract holders or third parties damaged by the contract holders. They include direct and indirect claims settlement costs and arise from events that have occurred up to the end of the reporting period even if they have not yet been reported to the Group. The Group does not discount its liabilities for unpaid claims. Liabilities for unpaid claims are estimated using the input of assessments for individual cases reported to the Group and statistical analyses for the claims incurred but not reported (IBNR), and to estimate the expected ultimate cost of more complex claims that may be affected by external factors.

The liability reserve on short term insurance contract is made up of an unexpired premium reserve (UPR) and reserve for 'Incurred but not reported' claims (IBNR). The UPR are calculated after adjusting for acquisition expenses. IBNR reserves are required to take account of the delay in reporting claims. These are determined by considering ultimate claims ratios for the life schemes on the Group's books. The ratios differ by industry and have been determined following a historical analysis of portfolio claims experience. The IBNR reserves are calculated by adjusting the ultimate claims amounts to allow for claims already paid and those outstanding for payment, and again adjusted to allow for the holding of a separate UPR reserve. As the short term insurance contract experience of African Alliance Insurance builds up we will be able to adjust for Group-specific claims settlement patterns.

- **Long-term insurance contracts with fixed and guaranteed terms**

These contracts insure events associated with human life (for example, death or survival) over a long duration. Premiums are recognised as revenue when they become payable by the contract holder. Premiums are shown before deduction of commission. Benefits are recorded as an expense when they are incurred.

A liability for contractual benefits that are expected to be incurred in the future is recorded when the premiums are recognised. The liability is determined as the sum of the expected discounted value of the benefit payments and the future administration expenses that are directly related to the contract, less the expected discounted value of the theoretical premiums that would be required to meet the benefits and administration expenses based on the valuation assumptions used (the valuation premiums). The liability is based on assumptions as to mortality, persistency, maintenance expenses and investment income that are established at the time the contract is issued. A margin for adverse deviations is included in the assumptions.

Where insurance contracts have a single premium or a limited number of premium payments due over a significantly shorter period than the period during which benefits are provided, the excess of the premiums payable over the valuation premiums is deferred and recognised as income in line with the decrease of unexpired insurance risk of the contracts in force or, for annuities in force, in line with the decrease of the amount of future benefits expected to be paid. The liabilities are recalculated at each end of the reporting period using the assumptions established at inception of the contracts.

The long term insurance contracts insure events associated with human life. They include individual insurance contracts.

Individual insurance contracts

The reserve has been calculated using the gross premium valuation approach. This reserving methodology adopts a cash flow approach taking into account all expected future cash flows including premiums, expenses and benefit payments to satisfy the liability adequacy test. The test also considers current estimates of all contractual cash flows, and of related cash flows such as claims handling costs, as well as cash flows resulting from embedded options and guarantees (where applicable).

2.16 Technical reserves

These are the reserves computed in compliance with the provision of Section 20, 21, and 22 of the Insurance Act 2003. They are:

- Life business Life fund

This is made up of net liabilities on policies in force as computed by the actuaries at the time of the actuarial valuation.

(i) Classification

IFRS 4 requires contracts written by insurers to be classified as either 'insurance contracts' or contracts with some level of insurance risk transferred.

Insurance contracts are those contracts when the insurer has accepted significant insurance risk from another party (the policyholders) by agreeing to compensate the policyholders if a specified uncertain future event (the insured event) adversely affects the insured.

The Company only enters into insurance contracts. Therefore, the Company's insurance contract liabilities represent its liability to the policy holders. Liabilities for unpaid claims are estimated on case-by-case basis. The liabilities recognised for claims fluctuate based on the nature and severity of the claim reported. Claims incurred but not reported are determined using statistical analyses and the Company deems liabilities reported as adequate. The liability comprises reserves for unearned premium, unexpired risk, outstanding claims and incurred but not reported claims.

Financial guarantee contracts are recognised as insurance contracts. Liability adequacy testing is performed to ensure that the carrying amount of the liability for financial guarantee contracts is sufficient.

At the end of each accounting period, this liability is reflected as determined by the actuarial valuation report. In accordance with IFRS 4, the Company has continued to apply its accounting policies on Insurance contracts under its previous Generally Acceptable Accounting Principles.

Unearned premium provision

The provision for unearned premiums represents the proportion of premiums written in the periods up to the accounting date that relate to the unexpired terms of policies in force at the end of the reporting date. This is estimated to be earned in subsequent financial periods, computed separately for each insurance contract using a time apportionment basis.

Reserve for unexpired risk

A provision for additional unexpired risk reserve is recognised for an underwriting year where it is envisaged that the estimated cost of claims and expenses exceed the unearned premium provision.

Reserve for outstanding claims

Outstanding claims represent the estimated ultimate cost of settling all claims arising from incidents occurring prior to the end of reporting date, but not settled at that date

Reserve for incurred but not reported claims (IBNR)

A provision is made for claims incurred but not yet reported as at the end of the financial year. This provision is based on the liability adequacy test report from registered actuary engaged by the Company.

Liability Adequacy Test

At the end of each reporting period, liability adequacy tests are performed to ensure that material and reasonably foreseeable losses arising from existing contractual obligations are recognised. In performing these tests, current best estimates of future contractual cash flows, claims handling and administration expenses, investment income backing such liabilities are considered. Long-term insurance contracts are measured based on assumptions set out at the inception of the contract. Any deficiency is recognised in profit or loss by increasing the carrying amount of the related insurance liabilities.

The Liability Adequacy Test (LAT) was carried out by EY with FRC/2012/NAS/00000000738, a recognised firm of actuaries.

Actuarial valuation

An actuarial valuation of the insurance contract liabilities is conducted annually to determine the liabilities on the existing policies as at the date of the valuation. All surpluses and deficits arising therefrom are charged to profit or loss.

(ii) Recognition and Measurement of Insurance contracts**Premium**

Gross written premiums for life insurance contracts comprise premiums received in cash as well as premiums that have been received and confirmed as being held on behalf of the Company by insurance brokers and have been duly certified. Gross premiums are stated gross of commissions, taxes payable and stamp duties that are payable to intermediaries and relevant regulatory bodies respectively.

Unearned premiums represent the proportions of premiums written in the year that relate to the unexpired risk of policies in force at the reporting date.

Reinsurance

Premiums, losses and other amounts relating to reinsurance treaties are measured over the period from inception of a treaty to expiration of the related business. The actual profit or loss on reinsurance business is therefore not recognised at the inception but as such profit or loss emerges. In particular, any initial reinsurance commissions are recognised on the same basis as the acquisition costs incurred. Premiums ceded, claims recovered, and commission received are presented in the statement of profit or loss and statement of financial position separately from the gross amounts.

Claims

Claims incurred comprise claims and claims handling expenses incurred during the financial year and changes in the provision for outstanding claims. Claims and claims handling expenses are charged to profit or loss as incurred.

2.17 Retirement Benefit Obligations

- Defined Contribution Plan

A defined contribution plan is a pension plan under which the company pays fixed contributions into a separate entity. The company has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods.

The company pays contributions to publicly or privately administered pension insurance plans on a mandatory, contractual or voluntary basis. The company has no further payment obligations once the contributions have been paid. The contributions are recognised as employee benefit expense when they are due. Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in the future payments is available.

In accordance with the provisions of the Pension Reform Act 2014, the company engage in a contributory pension with the employer and employee contributing a minimum of 10% and 8% of basic salary, housing and transport allowance respectively to each employee's retirement savings account maintained with their nominated pension fund administrators.

- Short-term employee benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided.

A liability is recognised for the amount expected to be paid under short-term cash bonus or profit sharing plans if the company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and obligation can be estimated reliably.

- Defined benefit and long term benefits plan

A defined benefit plan is a pension plan that defines an amount of pension benefit that an employee will receive on retirement, usually dependent on one or more factors, such as age, years of service and compensation.

The liability recognised in the statement of financial position in respect of the defined benefit pension plan is the present value of the defined benefit obligation at the date of the statement of financial position less the fair value of plan assets, together with adjustments for unrecognised actuarial gains or losses and past service costs.

Terminal Benefits/Severance pay

This is determined on need – basis. The Company enters into Collective Bargaining Agreement with Staff Union (staff representatives) anytime there is a business imperative to optimize. Management endorses Collective Bargaining Agreement in this instance as the request comes up

2.18 Provisions

General Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Where the Group expects some or all of a provision to be reimbursed, the reimbursement is recognised as a separate asset but only when the reimbursement is virtually certain. The expense relating to any provision is presented in the income statement net of any reimbursement. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

2.19 Current Income Tax

Current income tax is the amount of income tax payable on the taxable profit for the year determined in accordance with the Nigeria Income Tax Act. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted as at the reporting date.

2.20 Deferred Income Tax

Deferred income tax is provided in full on all temporary differences except those arising on the initial recognition of an asset or liability.

Deferred income tax is determined using the liability method on all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes, using tax rates and laws enacted or substantively enacted at the statement of financial position date and expected to apply when the related deferred income tax asset is realized or the deferred tax liability is settled.

Deferred income tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilized. The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilized. unrecognized deferred tax assets are reassessed at each reporting date and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax relating to items recognised outside profit or loss is recognised outside profit or loss. Deferred tax items are recognised in correlation to the underlying transaction either in other comprehensive income or directly in equity.

Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off such:

- * Current tax assets against current income tax liabilities and
- * The deferred taxes relate to the same taxable entity and
- * The same taxation authority

2.21 Share Capital and Share Premium

Ordinary shares are recognized at par value and classified as 'share capital' in equity. Any amounts received over and above the par value of the shares issued are classified as 'share premium' in equity.

2.22 Statutory Contingency Reserve

The Group maintains contingency reserves in accordance with the provisions of Insurance Act 2003 to cover fluctuations in securities and variations in statistical estimates at the rate equal to the higher of 1% of total premium or 10% of the net profit.

2.23 Retained Earnings

The retained earnings represent the amount available for dividend distribution to the equity shareholders of the company. See statement of changes in equities for movement in retained earnings.

2.24 Assets Revaluation Reserve

This represents the Group's revaluation reserve emanating from revaluation of certain assets

2.25 Income Recognition

- Gross Premiums

Gross premiums on insurance contract are recognized as revenue when payable by the policy holder.

For single premium business revenue is recognised on the date on which the policy is effect.

Gross insurance written premiums comprise the total premiums receivable for the whole period of cover provided by contracts entered into during the accounting period and are recognised on the date on which the policy incepts. Premiums include any adjustments arising in the accounting period for premiums receivable in respect of business written in prior accounting periods.

Premiums collected by intermediaries, but not yet received, are assessed based on estimates from underwriting or past experience and are included in premiums written.

Unearned premiums are those proportions of premiums written in a year that relate to periods of risk after the statement of financial position date. Unearned premiums are calculated on a daily pro rata basis. The proportion attributable to subsequent periods is deferred as a provision for unearned premiums.

2.26 Reinsurance Premiums

Gross reinsurance premium on insurance contracts are recognized as an expense when payable or on the date on which the policy is effective. Gross reinsurance premiums written comprise the total premiums payable for the whole cover provided by contracts entered into the period and are recognised on the date on which the policy incepts. Premiums include any adjustments arising in the accounting period in respect of reinsurance contracts incepting in prior accounting periods.

Unearned reinsurance premiums are those proportions of premiums written in a year that relate to periods of risk after the statement of financial position date. Unearned premiums are deferred over the term of the underlying direct insurance policies for risks attaching contracts and over the term of the reinsurance contract for losses-occurring contracts.

Fee and commission income

2.27

Fees and commission income consists primarily of insurance agency and brokerage commission, reinsurance and profit commissions, policyholder administration fees and other contract fees. Reinsurance commissions receivable are deferred in the same way as acquisition costs. All other fee and commission income is recognised as the services are provided.

Investment Income

2.28

Interest income is recognised in the income statement as it accrues and is calculated by using the effective interest rate method. Fees and commissions that are an integral part of the effective yield of the financial asset or liability are recognised as an adjustment to the effective interest rate of the instrument. Investment income consists of dividends, interest and rental income on investment properties, interest income on loans and receivables, realised gains and losses as well as unrealised gains and losses on fair value assets. Rental income is recognised on an accrual basis.

Interest income

Interest income is recognised in profit or loss as it accrues and is calculated by using the effective interest rate method. Fees and commissions that are an integral part of the effective yield of the financial asset or liability are recognised as an adjustment to the effective interest rate of the instrument. The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period to the net carrying amount of the financial asset or financial liability.

Dividend income

Dividend income from investment is recognised when the shareholders' right to receive payment have been established.

Realised gains and losses and unrealised gains and losses

Realised gains and losses on investments include gains and losses on financial assets and investment properties. Realised gains and losses on the sale of investments are calculated as the difference between net sales proceeds and the original or amortised cost or fair value and are recorded on occurrence of the sale transaction.

Unrealised gains or losses represent the difference between the carrying value at the year end and the carrying value at the previous year end or purchase value during the year, less the reversal of previously recognised unrealised gains and losses in respect of disposals during the year.

Other operating income

Other operating income represents income generated from sources other than premium revenue and investment income. It includes rental income, profit on disposal of property and equipment, salvage recoveries and other sundry income.

2.29 Gross Benefits and Claims

Claims incurred in respect of Insurance contracts include the cost of all claims arising during the year including internal and external claims handling costs that are directly related to the processing and settlement of claims as well as changes in the gross valuation of insurance and investment contract liabilities. All claims paid and incurred are charged against revenue as expenses when incurred.

Insurance claims and claims incurred

Gross benefits and claims consist of benefits and claims paid / payable to policyholders, which include changes in the gross valuation of insurance contract liabilities, except for gross change in the unearned premium provision which are recorded in premium income. It further includes internal and external claims handling costs that are directly related to the processing and settlement of claims. Amounts receivable in respect of salvage and subrogation are also considered.

2.30 Reinsurance Claims

Reinsurance claims are recognised when the related gross insurance claim is recognised according to the terms of the relevant contract.

2.31 Interest Income and Expense

Interest income and expense are recognized in profit or loss using the effective interest method. The effective interest rate is the rate that exactly discounts the estimated future cash (or, where appropriate, the next re-pricing date) to the carrying amount of the financial asset or liability. When calculating the effective interest rate, the entity estimates future cash flows considering all contractual terms of the financial instruments but not future credit losses.

The calculation of the effective interest rate includes contractual fees and points paid or received transaction costs and discounts or premium that are integral part of the effective interest rate.

Transaction costs are incremental costs that are directly attributable to the acquisition, issue or disposal of a financial asset or liability.

Interest income and expense presented in the financial statement include:

Interest on financial assets and liabilities measured at amortized cost calculated on an effective interest basis

Interest on financial assets measured at fair value through profit or loss calculated on an effective interest rate basis.

Expense Recognition

2.32 Expenses

Expenses are recognised in the income statement when a decrease in future economic benefit related to a decrease in an asset or an increase of a liability has arisen that can be measured reliably. This means, in effect, that recognition of expenses occurs simultaneously with the recognition of an increase in liabilities or a decrease in assets (for example, the accrual of employee entitlements or the depreciation of equipment)

When economic benefits are expected to arise over several accounting periods and the association with income can only be broadly or indirectly determined, expenses are recognised in the income statement on the basis of systematic and rational allocation procedures.

This is often necessary in recognizing the equipment associated with the using up of assets such as property, plant and equipment in such cases the expense is referred to as a depreciation or amortization. These allocation procedures are intended to recognise expenses in the accounting periods in which the economic benefits associated with these items are consumed or expire. an expense is recognised immediately in the income statement when expenditure produces no future economic benefits or when, and to the extent that future economic benefits do not qualify, or cease to qualify, for recognition in the statement of financial position as an asset.

2.33 Underwriting Expenses

Underwriting expenses comprise acquisition costs and other underwriting expenses. Acquisition costs comprise all direct and indirect costs arising from writing insurance contracts. These cost are charged in the income statement in the period they are incurred.

Management expenses

Management expenses are recognised in profit or loss when goods are received, or services rendered. They are expenses other than claims, maintenance and underwriting expenses and include employee benefits, depreciation charges and other operating expenses.

2.34 Impairment of non-financial assets

The Group assesses at each reporting date whether there is an indication that an asset may be impaired. If any such indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. an asset's recoverable amount is the higher of an asset's or cash generating unit's fair value less costs to sell and its value in use.

The recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or Groups of assets. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre- discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. in determining fair value less costs to sell, an appropriate valuation model is used.

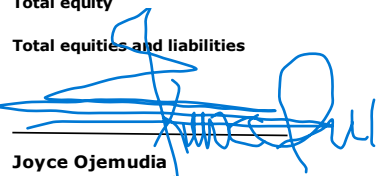
Impairment losses of continuing operations are recognised in the income statement in those expenses categories consistent with the function of the impaired asset, except for property previously revalued where the revaluation was taken to comprehensive income. In this case the impairment is also recognised in comprehensive income up to the amount of any previous revaluation.

An assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Group makes an estimate of recoverable amount. A previous impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. If that is the case the carrying amount of the asset is increased to its recoverable amount. The increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the income statement unless the asset is carried at revalued amount, in which case the reversal is treated as a revaluation increase.

AFRICAN ALLIANCE INSURANCE PLC

**STATEMENT OF FINANCIAL POSITION
FOR THE PERIOD ENDED 30 JUNE 2022**

	Note	Group		Company	
		30-Jun-22 N'000	31-Dec-21 N'000	30-Jun-22 N'000	31-Dec-21 N'000
ASSETS					
Cash and cash equivalents	6	2,655,685	1,389,861	2,583,193	1,308,630
Financial assets :					
'-fair value through profit or loss-equities	7.1	225,845	147,544	225,845	147,544
'-fair value through profit or loss-bonds	7.2	7,608,449	10,414,572	7,608,449	10,414,572
	7.3				
'- fair value through Other comprehensive income		16,089,907	16,089,177	16,084,889	16,084,889
'- Amortised cost		49,521	86,176	49,521	86,176
Trade receivables	8	102,277	88,884	-	-
Reinsurance assets	9	136,282	113,116	136,282	113,116
Other receivables and prepayments	10	765,793	1,117,988	2,362,200	2,710,190
Deferred acquisition costs	11	-	-	-	-
Investment properties	12	9,652,217	9,668,536	8,030,000	8,030,000
Investment in subsidiary	13	-	-	542,729	542,729
Investment in Associate	14	-	-	-	-
Retirement benefit assets	23.1	-	-	-	-
Deferred Tax Asset	26b	147,678	147,691	146,476	146,476
Intangible assets	15	72,426	56,481	38,291	29,427
Property plant and equipment	16	1,818,440	1,876,747	802,070	847,737
Right of Use Assets	17	42,309	42,252	42,309	42,252
Statutory deposit	18	357,262	348,401	200,000	200,000
Total assets		39,724,091	41,587,426	38,852,254	40,703,737
LIABILITIES					
Insurance contract liabilities	19	41,850,608	40,852,662	41,018,946	39,090,388
Investment contract liabilities	20	3,599,602	3,396,154	3,599,602	3,396,154
Trade payable	21	1,257,584	1,184,875	683,156	946,624
Other payables and accruals	22	1,264,840	936,415	620,167	798,582
Employee benefit liabilities	23.2	31,621	35,652	31,621	35,652
Borrowings	24	106,711	166,201	33,026	54,034
Tax payable	25	628,217	615,741	582,882	582,882
Deferred tax liability	26	202,891	204,005	92,107	92,107
Total liabilities		48,942,074	47,391,705	46,661,508	44,996,422
EQUITY					
Share capital	27	10,292,500	10,292,500	10,292,500	10,292,500
Share premium	27	14,365,133	14,365,133	14,365,133	14,365,133
Contingency reserves	28	2,018,781	1,903,181	1,892,491	1,854,545
Retained earnings	29	(38,202,529)	(34,276,925)	(35,975,901)	(32,421,386)
Translation reserve	46	(297,721)	(856,956)	-	-
Non-controlling interest	47	(19,390)	143,550	-	-
Fair value reserves	30	2,625,241	2,625,241	1,616,522	1,616,522
Total equity		(9,217,984)	(5,804,279)	(7,809,254)	(4,292,686)
Total equities and liabilities		39,724,091	41,587,426	38,852,254	40,703,737


Joyce Ojemudia
Managing Director/CEO
FRC/2015/CIIN/00000012042


Olabisi Adekola
Chief Financial Officer
FRC/2013/ICAN/000000001179

AFRICAN ALLIANCE INSURANCE PLC
STATEMENT OF COMPREHENSIVE INCOME
FOR THE PERIOD ENDED 30 JUNE 2022

	Note	Group		Company	
		30-Jun-22 N'000	30-Jun-21 N'000	30-Jun-22 N'000	30-Jun-21 N'000
Gross premium written	31	4,279,434	3,686,656	3,794,611	3,123,875
Unearned premium	31	(213,631)	(69,247)	(213,631)	(69,247)
Gross premium income		4,065,803	3,617,409	3,580,980	3,054,628
Insurance premium ceded to reinsurers	32	(119,911)	(399,672)	(119,911)	(399,672)
Net premium income		3,945,892	3,217,737	3,461,069	2,654,956
Fees and commission income	33	218	116,908	218	116,908
Net underwriting income		3,946,110	3,334,645	3,461,287	2,771,864
Insurance claims incurred and loss adjustments expenses	34	4,010,535	3,730,898	3,322,609	3,125,066
Insurance claims incurred recovered from reinsurers	34	-	-	-	-
Underwriting expenses	35	676,272	818,787	650,368	785,791
Changes in long term insurance contracts	36	2,518,111	(12,285,377)	2,469,629	(12,313,516)
Net underwriting expenses		7,204,919	(7,735,693)	6,442,606	(8,402,659)
Net underwriting profit		(3,258,809)	11,070,338	(2,981,319)	11,174,523
Other income	37	104,446	920,629	104,426	919,970
Impairment charges	40	-	-	-	-
Fair value gain/(loss) on investment properties	12	-	-	-	-
Fair value through profit or loss	38	(295,498)	(6,929,185)	(295,498)	(6,929,185)
Investment income	39	883,939	1,349,552	869,056	1,326,948
Loss from investment contracts	39a	(2,001)	(7,168)	(2,001)	(7,168)
Share of profit of equity accounted investee	14	-	-	-	-
Employee benefit expenses	41	(526,099)	(569,969)	(455,893)	(439,881)
Other operating and administrative expenses	42	(849,641)	(736,021)	(755,723)	(651,127)
Impairment loss Allowance (ECL)	43	(22,221)	(34,854)	383	(33,517)
Finance cost	44	-	(8,249)	-	(8,249)
Profit before tax		(3,965,883)	5,055,073	(3,516,569)	5,352,314
Income tax expense	45	(15,929)	(5,352)	-	(5,352)
Profit for the year		(3,981,812)	5,049,721	(3,516,569)	5,346,962
Profit attributable to:					
- Owners of the parent		(3,808,323)	5,040,662		
- Non-controlling interests		(173,488)	9,059		
		(3,981,812)	5,049,721		
Other comprehensive income:					
<i>Items that may be subsequently reclassified to profit or loss</i>					
Change in value of available for sale financial assets (net of taxes)		-	(584,724)	-	(584,724)
Foreign exchange translation gain/(loss)	46	568,101	346,066	-	(584,724)
		568,101	(238,658)		
<i>Items that will not be subsequently reclassified to profit or loss</i>					
(Loss)/Gain on revaluation of property, plant and equipment (net of taxes)		-	-	-	-
Deferred tax on revaluation gain(loss)		-	-	-	-
Remeasurement		-	-	-	-
Other comprehensive income for the year		568,101	(238,658)	-	(584,724)
Total comprehensive income for the year		(3,413,711)	4,811,063	(3,516,569)	4,762,238
Total comprehensive income attributable to:					
- Owners of the parent		(3,345,436)	4,714,842	(3,516,569)	4,762,238
- Non-controlling interests		(68,274)	96,221		
		(3,413,711)	4,811,063	(3,516,569)	4,762,238

AFRICAN ALLIANCE INSURANCE PLC

STATEMENT OF CHANGES IN EQUITY - GROUP
FOR THE PERIOD ENDED 30 JUNE 2022

	Share capital N'000	Share premium N'000	Fair value reserve N'000	Contingency reserve N'000	Translation reserve	Retained earnings N'000	Non-controlling interest	Total equity N'000
Balance at 1 January 2022	10,292,500	14,365,133	2,625,241	1,903,181	(856,956)	(34,276,925)	143,550	(5,804,276)
<i>Total comprehensive income for the year</i>								
Profit for the year	-	-	-	-	-	(3,808,323)	(173,488)	(3,981,812)
Other comprehensive income for the period	-	-	-	-	559,235	-	8,866	568,101
Total Comprehensive income for the year	-	-	-	-	559,235	(3,808,323)	(164,622)	(3,413,710)
Transfer to contingency reserve	-	-	-	115,599	-	(117,281)	1,682	0
Transfer from properties revaluation reserve	-	-	-	-	-	-	-	-
Total transactions with owners, recognised directly in equity	-	-	-	115,599	-	(117,281)	1,682	0
Balance at 30 June 2022	10,292,500	14,365,133	2,625,241	2,018,780	(297,721)	(38,202,530)	(19,390)	(9,217,986)
Balance at 1 January 2021	10,292,500	14,365,133	1,118,054	1,684,639	(282,862)	(32,294,655)	3,323	(5,113,868)
								-
<i>Total comprehensive income for the year</i>	10,292,500	14,365,133	1,118,054	1,684,639	(282,862)	(32,294,655)	3,323	(5,113,868)
Profit for the year	-	-	-	-	-	5,040,663	9,059	5,049,722
Changes in fair value of FVOCI Investments	-	-	-	-	-	-	-	-
Remeasurement of the net defined benefit liability	-	-	-	-	-	-	-	-
Transfer from properties revaluation reserve	-	-	-	-	-	-	-	-
Foreign exchange translation	-	-	-	-	-	-	-	-
Other comprehensive income for the year	-	-	(584,724)	-	346,066	-	(27,764)	(266,422)
Total Comprehensive income for the year	-	-	(584,724)	-	346,066	5,040,663	(18,705)	4,783,300
Transfer to contingency reserve	-	-	-	533,652	-	(535,152)	1,500	-
Transfer from properties revaluation reserve	-	-	-	-	-	-	-	-
Total transactions with owners, recognised directly in equity	-	-	-	533,652	-	(535,152)	1,500	-
Balance at 30 June 2021	10,292,500	14,365,133	533,330	2,218,291	63,204	(27,789,144)	(13,882)	(330,568)

AFRICAN ALLIANCE INSURANCE PLC
STATEMENT OF CHANGES IN EQUITY - COMPANY
FOR THE PERIOD ENDED 30 JUNE 2022

	Share capital N'000	Share premium N'000	Contingency reserve N'000	Fair value reserve N'000	Retained earnings N'000	Total N'000
Balance at 1 January 2022	10,292,500	14,365,133	1,854,545	1,616,522	(32,421,384)	(4,292,684)
Total comprehensive income for the year						
Profit for the year	-				(3,516,569)	(3,516,569)
Other comprehensive income for the year	-			-		-
Total Comprehensive income for the period	-	-	-	-	(3,516,569)	(3,516,569)
Transactions with owners, recorded directly in equity						
Transfer to contingency reserve	-		37,946		(37,946)	-
Total transactions with owners, recognised directly in equity	-	-	37,946	-	(37,946)	-
Balance at 30 June 2022	10,292,500	14,365,133	1,892,491	1,616,522	(35,975,899)	(7,809,253)
	Share capital N'000	Share premium N'000	Contingency reserve N'000	Fair value reserve N'000	Retained earnings N'000	Total N'000
Balance at 1 January 2021	10,292,500	14,365,133	1,570,986	114,472	(30,838,151)	(4,495,060)
Total comprehensive income for the period	10,292,500	14,365,133	1,570,986	114,472	(30,838,151)	(4,495,060)
PPE Revaluation				-		-
Other comprehensive loss for the year				(584,724)		-
Profit for the year					5,346,960	5,346,960
Total Comprehensive income for the period	-	-	-	(584,724)	5,346,960	5,346,960
Transactions with owners, recorded directly in equity						
Transfer to contingency reserve			534,696		(534,696)	-
Total transactions with owners, recognised directly in equity	-	-	534,696	-	(534,696)	-
Balance at 30 June 2021	10,292,500	14,365,133	2,105,682	(470,252)	(26,025,887)	267,176

AFRICAN ALLIANCE INSURANCE PLC

STATEMENT OF CASH FLOWS
FOR THE PERIOD ENDED 30 JUNE 2022

	Group		Company	
	30-Jun-22 N'000	30-Jun-21 N'000	30-Jun-22 N'000	30-Jun-21 N'000
Cash flows from operating activities				
Cash premium received	4,279,434	3,686,656	3,794,611	3,123,876
Cash received from deposit contract liabilities	228,028	250,286	228,028	250,286
Cash withdrawals from deposit contract liabilities	(22,579)	(1,333,018)	(22,579)	(1,333,018)
Cash Claims recovered	-	-	-	-
Dividend received	8,082	7,893	8,082	7,893
Claims paid	(5,347,724)	(4,452,552)	(4,659,798)	(3,846,720)
Cash paid to reinsurers/ coinsurers	(119,911)	(399,672)	(119,911)	(399,672)
Commission received	218	116,908	218	116,908
Maintenance expenses paid	(410,886)	(354,807)	(384,982)	(321,811)
Acquisition costs	(265,386)	(463,980)	(265,386)	(463,980)
Employee benefits paid	(526,099)	(569,969)	(455,893)	(439,882)
Other operating expenses paid	(849,641)	(736,021)	(678,319)	(577,173)
Other income received	37,457	381,940	104,426	919,970
Interest received	875,857	1,341,660	860,974	1,319,054
Income tax paid	-	-	-	-
Net cash from operating activities	(2,113,150)	(2,524,675)	(1,590,529)	(1,644,270)
Cash flow from investing activities:				
Purchases of plant and equipment	(31,740)	(168,258)	(31,740)	(168,258)
Purchase of intangible assets	(14,725)	-	(14,725)	-
Capital Improvement of investment properties	-	-	-	-
Proceeds from disposal of property and equipment	-	90	-	90
Cash received from associated company	-	-	-	-
Capital injection made to Subsidiary	-	-	-	(1,000,000)
Purchase of financial assets - AFS	-	(16,600,000)	-	(16,600,000)
Purchase of financial assets- bonds	(235,122)	-	(235,122)	-
Proceed from disposal of financial asset - Amortised cost	36,451	-	36,451	-
Principal repayment of financial assets- bonds	3,171,645	2,732,742	3,171,645	2,732,742
Movement in loans and receivables	335,302	250,378	-	-
Rights of Use Assets	(43,748)	-	(43,748)	-
Net cash used in investing activities	3,218,063	(13,785,048)	2,882,761	(15,035,426)
Cash flow from financing activities:				
Repayment of borrowings	(59,490)	(354,384)	(21,008)	(259,779)
Proceeds from borrowings	166,201	532,799	-	332,759
Net cash used in financing activities	106,711	178,415	(21,008)	72,980
Net increase/(decrease) in cash and cash equivalents	1,211,624	(16,131,308)	1,271,224	(16,606,716)
Cash and cash equivalent at beginning of year	1,463,289	17,799,687	1,326,617	17,659,122
Net increase/decrease in cash and cash equivalents	1,211,624	(16,131,308)	1,271,224	(16,606,716)
Cash and cash equivalent at end of period	2,674,913	1,668,379	2,597,841	1,052,406

AFRICAN ALLIANCE INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS

1. General Information

African Alliance Insurance Company is a public limited company incorporated and domiciled in Nigeria. The registered office is located at 54 Awolowo Raod, Ikoyi, Lagos.

The company is principally engaged in the business of providing risk underwriting for life, related financial and pension services, aviation and hospitality services to its customers.

2. Summary of significant accounting policies

The principal accounting policies applied in the preparation of these financial statements are disclosed under General information on the Reporting Entity and Summary of Significant Accounting Policies. These policies have been consistently applied to all the years presented unless otherwise stated.

3 Solvency

The assets backing the life funds are as follows:

	Group		Company	
	2022	2021	2022	2021
	N000	N000	N000	N000
Government Bonds	7,608,449	10,414,572	7,608,449	10,414,572
Cash and bank balances	2,655,685	1,389,861	2,583,193	1,308,630
Investment in quoted equity	225,845	147,544	225,845	147,544
Total	10,489,979	11,951,977	10,417,487	11,870,746

4 Management of Financial risk

The Group is exposed to various financial risks in connection with its current operating activities, such as foreign currency risk, interest rate risk, credit risk, market risk and liquidity risk. These risks contribute to the key financial risk that the proceeds from the Group's financial assets are insufficient to fund the obligations arising from insurance policy contracts.

The Company manages these risks through the activities of the Audit Committee and the Investment Committee. Each committee meets at least four times per annum to discuss financial risk issues. Management is responsible for implementing recommendations that have been agreed and reporting back to the relevant committee.

The Audit Committee is a committee of the Board of African Alliance Insurance Plc and is responsible for the implementation and monitoring of overall risk management, internal financial controls and financial and actuarial reporting within the Group. The main responsibilities of this Committee are:

- i) Setting and overseeing the overall standard for financial and actuarial reporting, risk management and internal controls within the Group;
- ii) Monitoring the effectiveness of business risk management processes in the Group;
- iii) Reviewing and assessing the quality of the work done by professionals responsible for financial and actuarial reporting, risk management and internal control;
- iv) Engaging in discussions with external and internal auditors on the quality and acceptability of the control environment and reporting structures.

The Investment Committee is a management committee and is responsible for

- i) ensuring that insurance and investment contract liabilities are matched with appropriate supporting assets based on the type of benefits payable to the contract holders;
- ii) ensuring that the long-term investment return on assets supporting policy liabilities are sufficient to fund policyholders' reasonable benefit expectations and the shareholders' profit entitlement;
- iii) the implementation and monitoring of the asset management process to ensure that the risks arising from trading positions are effectively managed within the pre-determined risk parameters.

4.1 Market risk

The business's operations are exposed to market risk. Market risk is the risk of adverse financial impact as a consequence of market movements such as currency exchange rates, interest rates and other price changes. Market risks arises due to fluctuations in both value of assets and liabilities. The company has established policies and procedures in order to manage market risk.

The acquisition of policyholders' assets is based on the design of the product and marketing descriptions. Within these parameters, investments are managed with the aim of maximising policyholder returns while limiting risk to acceptable levels within the framework of statutory requirements. The focus of risk measurement and management is to ensure that the potential risks inherent in an investment are reasonable for the future potential reward, exposure to investment risk is limited to acceptable levels, premium rates are adequate to compensate for investment risk and an adequate reserving policy is applied for long-term policy liabilities. The diverse product range requires a variety of approaches to the management of risk; these range from portfolio management practices and techniques such as optimization of expected risks and rewards based on investment objectives, to asset-liability matching in support of statement of financial position obligations.

4.1.1 Foreign exchange risk

Foreign exchange risk is the risk associated with movement in the foreign exchange prices from foreign currency denominated transactions which the Group is exposed to.

The Group is exposed to foreign exchange currency risk primarily through certain transactions denominated in foreign currency. The Group is exposed to foreign currency denominated in dollars and Pound through bank balances in other foreign currencies.

The Group manages its exposure to foreign exchange risk using sensitivity analysis to assess potential changes in the value of foreign exchange positions and impact of such changes on the Group's income. There have been no major changes from the previous year in the exposure to risk or policies, procedures and methods used to measure the risk.

AFRICAN ALLIANCE INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS

4.1.2 Interest-rate risk

Interest rate risk is the risk that the value of a fixed income security will fall as a result of movement in market interest rates. Interest rate risk also arises from fluctuations in future cash flows of a financial instrument because of changes in market interest rates.

The company is exposed to interest rate risk as the company invest in short term investments at fixed interest rates. Interest rate risk also exists in products sold by the company. The company manages this risk by adopting close asset/liability matching criteria, to minimise the impact of mismatches between asset and liability values arising from interest rate movements. Interest rate risk exposures from guarantees embedded in insurance liabilities. The company's insurance contracts and investment contracts with DPF have certain options and guarantees that transfer interest rate risk to the company. These are:-

- options to surrender the insurance contract or the investment contract with DPF where the surrender value (i.e. the strike price of the option) is either a fixed amount or a fixed amount plus interest depending on the year in which the contract was issued;
- guaranteed annuity options where the company has guaranteed at the inception of certain contracts that it will be paying a life annuity to the surviving policyholders at their retirement dates which will be calculated using the higher of the current annuity rate at that date or the guaranteed annuity rate set in the contract. The guaranteed rate has fixed at inception both the level of mortality risk and the interest rate that will be used to calculate the annuity payments.

AFRICAN ALLIANCE INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS

4.2 Credit risk

Credit risk arises from the inability or unwillingness of a counter party to a financial instrument to discharge its contractual obligations. The Company determines counter-party credit quality by reference to ratings from independent ratings agencies or, where such ratings are not available, by internal analysis. The Company seeks to avoid unacceptable concentration of credit risk to groups of counter-parties, to business sectors, product types, etc.

Key areas where the Group is exposed to credit risk are:

- Reinsurers' share of insurance liabilities;
- Amounts due from reinsurers in respect of claims already paid;
- Amounts due from insurance contract holders;
- Amounts due from insurance intermediaries;
- Amounts due from loans and receivables;
- Amounts due from money market and cash positions

The Company structures the levels of credit risk it accepts by placing limits on its exposure to a single counterparty, or groups of counterparties. Such risks are subject to an annual or more frequent review. Limits on the level of credit risk by category and territory are approved by the Management Committee.

Reinsurance is used to manage insurance risk. This does not, however, discharge the Group's liability as primary insurer. If a reinsurer fails to pay a claim for any reason, the Group remains liable for the payment to the policyholder. The creditworthiness of reinsurers is considered on an annual basis by reviewing their financial strength prior to finalisation of any contract.

The Company's financial instruments do not represent a concentration of credit risk because the business deals with a variety of reinsurers and its premiums receivable and loans are spread among a number of major industries, customers and geographic areas. Amounts receivable in terms of long-term insurance business are secured by the underlying value of the unpaid policy benefits in terms of the policy contract. An appropriate level of provisioning is maintained.

The Company manages its exposure to credit risk through counterparty risk using established limits as approved by the Board. These limits are determined based on credit ratings of the counterparty amongst other factors. The investments portfolio are monitored on a monthly basis.

4.2.1 Maximum exposure to credit risk before collateral and other credit enhancements.

	Group		Company	
	2022 N'000	2021 N'000	2022 N'000	2021 N'000
Cash and bank balances	2,655,685	1,389,861	2,583,193	1,308,630
Investment securities	23,924,201	26,651,293	23,919,183	26,647,005
Trade receivables	102,277	88,884	-	-
Reinsurance assets	136,282	113,116	136,282	113,116
Other receivables	765,793	1,117,988	2,362,200	2,710,190
Statutory deposit	357,262	348,401	200,000	200,000
	27,941,500	29,709,543	29,200,858	30,978,941

4.3 Liquidity risk

Liquidity risk is the risk that the Company is unable to meet its obligations when they fall due as a result of policyholder benefit payments, cash requirements from contractual commitments, or other cash outflows, such as debt maturities. Such outflows would deplete available cash resources for operational, trading and investments activities. In extreme circumstances, lack of liquidity could result in reductions in the consolidated balance sheet and sales of assets, or potentially an inability to fulfil policyholder commitments. The risk that the Group will be unable to do so is inherent in all insurance operations and can be affected by a range of institution-specific and market-wide events including, but not limited to, credit events, merger and acquisition activity, systemic shocks and natural disasters.

Monitoring and reporting take the form of cash flow measurement and projections for the next day, week and month respectively, as these are key periods for liquidity management. The starting point for those projections is an analysis of the undiscounted contractual cashflow at maturity of the financial liabilities and the expected collection date of the financial assets.

All policyholder funds are invested in appropriate assets to meet the reasonable benefit expectations of policyholders, which include the expectation that funds will be available to pay out benefits as required by the policy contract. The disclosure in note 6 demonstrate that the Group has significant liquid resources. The value for policyholders' liabilities and the assets backing them are as per the carrying amount in the statement of the financial position.

The maturity profile of the total policyholders' liabilities and assets backing them is shown below:

Group 30 June 2022	Carrying amount	0-3 months	3 to 9 months	9 months to 1 year	1 to 5 years	> 5 years	Total
	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Trade payables	1,257,584	125,758	314,396	440,154	188,638	188,637.58	1,257,584
Other liabilities	2,031,390	203,139	507,847	710,986	304,708	304,708.43	2,031,390
Investment linked contract	3,599,602	359,960	899,901	1,259,861	539,940	539,940.33	3,599,602
Total financial liabilities	6,888,576	688,858	1,722,144	2,411,001	1,033,286	1,033,286	6,888,576
Cash and bank balances	2,655,685	265,568	663,921	929,490	398,353	398,352.69	2,655,685
Marketable investment securities	23,924,201	1,196,210	717,726	1,674,694	1,196,210	19,139,361	23,924,201
Trade receivables	102,277	102,277	-	-	-	-	102,277
Reinsurance assets	136,282	-	-	136,282	-	-	136,282
Other receivables	765,793	76,579	191,448	268,027	114,869	114,868.89	765,793
Total financial assets	27,584,238	1,640,636	1,573,095	3,008,494	1,709,432	19,652,583	27,584,238
Net financial assets and liabilities	20,695,662	951,778	(149,049)	597,493	676,146	18,619,297	20,695,662
Insurance contract liabilities - Life fund	(41,850,608)	(2,092,530)	(1,046,265)	(1,046,265)	(6,516,839)	(31,148,705)	(41,850,605)
Net policyholders assets and liabilities	(21,154,945)	(1,140,752)	(1,195,314)	(448,773)	(5,840,694)	(12,529,409)	(21,154,943)

Group 31 December 2021	Carrying amount	0-3 months	3 to 9 months	9 months to 1 year	1 to 5 years	> 5 years	Total
	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Trade payables	1,184,874	355,462	414,706	414,706	-	-	1,184,874
Other liabilities	1,621,357	324,271	405,339	486,407	405,339	-	1,621,357
Investment linked contract	3,396,153	509,423	849,038	509,423	1,528,269	-	3,396,153
Total financial liabilities	6,202,384	1,189,157	1,669,083	1,410,536	1,933,608	-	6,202,384
Cash and bank balances	1,389,861	208,479	347,465	486,451	208,479	138,986	1,389,861
Marketable investment securities	26,651,292	1,332,565	932,795	1,998,847	3,731,181	18,655,904	26,651,292
Trade receivables	88,884	88,884	-	-	-	-	88,884
Reinsurance assets	113,116	-	-	113,116	-	-	113,116
Other receivables	1,117,988	167,698	279,497	391,296	167,698	111,799	1,117,988
Total financial assets	29,361,141	1,797,626	1,559,758	2,989,710	4,107,358	18,906,689	29,361,141
Net financial assets and liabilities	23,158,757	608,469	(109,326)	1,579,174	2,173,750	18,906,689	23,158,757
Insurance contract liabilities - Life fund	(40,852,662)	(1,746,344)	(2,328,459)	(3,725,534)	(3,841,957)	(29,210,367)	40,852,662
Net policyholders assets and liabilities	(17,693,905)	(1,137,875)	(2,437,785)	(2,146,360)	(1,668,207)	(10,303,678)	(17,693,905)

Company 30 June 2022	Carrying amount	0-3 months	3 to 9 months	9 to 1 year	1 to 5 years	> 5 years	Total
	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Trade payables	683,156	68,316	170,789	239,104	102,473	102,473.35	683,156
Other liabilities	1,267,697	126,770	316,924	443,694	190,155	190,154.54	1,267,697
Investment linked contract	3,599,602	359,960	899,900	1,259,861	539,940	539,940.27	3,599,602
Total financial liabilities	5,550,454	555,045	1,387,614	1,942,659	832,568	832,568	5,550,454
Cash and bank balances	2,583,193	258,319	645,798	904,118	387,479	387,479.02	2,583,193
Marketable investment securities	23,919,183	1,195,959	717,575	1,674,343	1,195,959	19,135,346	23,919,183
Trade receivables	-	-	-	-	-	-	-
Reinsurance assets	136,282	-	-	136,282	-	-	136,282

Other receivables	2,362,200	236,220	590,550	826,770	354,330	354,330.00	2,362,200
Total financial assets	29,000,858	1,690,498	1,953,924	3,541,513	1,937,768	19,877,155	29,000,858
Net financial assets and liabilities	23,450,405	1,135,454	566,311	1,598,854	1,105,201	19,044,586	23,450,407
Insurance contract liabilities - Life fund	(41,018,946)	(2,050,947)	(1,025,474)	(1,025,474)	(5,768,345)	(31,148,705)	(41,018,946)
Net policyholders assets and liabilities	(17,568,541)	(915,493)	(459,163)	573,380	(4,663,144)	(12,104,119)	(17,568,539)

31 December 2021	Carrying amount N'000	0-3 months N'000	3 to 9 months N'000	9 to 1 year N'000	1 to 5 years N'000	> 5 years N'000	Total N'000
Trade payables	946,624	283,987	331,318	331,318	-	-	946,624
Other liabilities	1,409,449	281,890	352,362	422,835	352,362	-	1,409,449
Investment linked contract	3,396,154	509,423	849,038	509,423	1,528,269	-	3,396,154
Total financial liabilities	5,752,226	1,075,300	1,532,719	1,263,576	1,880,631	-	5,752,226
Cash and bank balances	1,308,630	196,295	327,158	458,021	196,295	130,863	1,308,630
Marketable investment securities	26,647,005	1,332,350	932,645	1,998,525	3,730,581	18,652,903	26,647,005
Trade receivables	-	-	-	-	-	-	-
Reinsurance assets	113,116	-	-	113,116	-	-	113,116
Other receivables	2,710,191	406,529	677,548	948,567	406,529	271,019	2,710,191
Total financial assets	30,778,941	1,935,173	1,937,350	3,518,229	4,333,404	19,054,785	30,778,941
Net financial assets and liabilities	25,026,715	859,873	404,631	2,254,653	2,452,772	19,054,785	25,026,715
Insurance contract liabilities - Life fund	(39,090,388)	(4,767,201)	(6,356,268)	(10,170,030)	(10,487,843)	(7,309,045)	(39,090,388)
Net policyholders assets and liabilities	(14,063,672)	(3,907,328)	(5,951,637)	(7,915,377)	(8,035,071)	11,745,740	(14,063,673)

4.4. Group Hypothecation

Item		Life	Annuity	Investment Contract	Total (Admissible)
Insurance Contract Liabilities		10,701,903	31,148,705	-	41,850,608
Investment Contract Liabilities			-	3,599,602	3,599,602
Gross Insurance Funds		10,701,903	31,148,705	3,599,602	45,450,210
Less					
Reinsurance Receivables					
1	Reinsurance expenses prepaid		-		-
2	Reinsurers' share of Claims expense paid	(23,166)	-		(23,166)
3	Reinsurers' share of Unearned premium reserve	(21,583)	-		(21,583)
4	Reinsurers' share of Incurred but not reported claims	(91,533)	-		(91,533)
5	Others (specify)	-	-	-	-
Net Insurance Funds		10,565,621	31,148,705	3,599,602	45,313,928
Admissible Assets					
1	Cash and Cash Equivalents	520,234	1,931,307	204,144	2,655,685
2	Treasury bills and Government Bonds	3,197,210	2,820,156	1,640,604	7,657,970
3	Corporate Bonds & Debenture	-	-	-	-
4	Quoted Shares	24,665	-	201,180	225,845
5	Unquoted Shares	2,833,619	3,013,839	350,120	6,197,578
6	Loan to Policy holders	197,008	-	-	197,008
7	Investment Properties	4,710,951	787,711	1,203,554	6,702,216
Total Admissible Assets		11,483,687	8,553,013	3,599,602	23,636,302
SURPLUS(DEFICIT) IN ASSETS COVER		918,066	(22,595,692)	0	(21,677,626)
					0

Company Hypothecation

Item		Life	Annuity	Investment Contract	Total (Admissible)
Insurance Contract Liabilities		9,870,241	31,148,705		41,018,946
Investment Contract Liabilities			-	3,599,602	3,599,602
Gross Insurance Funds		9,870,241	31,148,705	3,599,602	44,618,548
Less					
Reinsurance Receivables					
1	Reinsurance expenses prepaid		-		-
2	Reinsurers' share of Claims expense paid	(23,166)	-		(23,166)
3	Reinsurers' share of Unearned premium reserve	(21,583)	-		(21,583)
4	Reinsurers' share of Incurred but not reported claims	(91,533)	-		(91,533)
5	Others (specify)	-	-	-	-
Net Insurance Funds		9,733,959	31,148,705	3,599,602	44,482,266
Admissible Assets					
1	Cash and Cash Equivalents	447,742	1,931,307	204,144	2,583,193
2	Treasury bills and Government Bonds	3,197,210	2,820,156	1,640,604	7,657,970
3	Corporate Bonds & Debenture				-
4	Quoted Shares	24,665	-	201,180	225,845
5	Unquoted Shares	2,833,619	3,013,839	350,120	6,197,578
6	Loan to Policy holders	141,988	-		141,988
7	Investment Properties	3,088,735	787,711	1,203,554	5,080,000
Total Admissible Assets		9,733,959	8,553,013	3,599,602	21,886,574
SURPLUS(DEFICIT) IN ASSETS COVER		0	(22,595,692)	0	(22,595,692)

NOTES TO THE FINANCIAL STATEMENTS

4.5 Minimum Capital requirement

The company did not meet the minimum capital requirement of N2 billion as stipulated by the Insurance Act

The Solvency Margin for African Alliance Insurance Plc. as at 30 June 2022 is as follows:		
	N'000	N'000
Admissible Assets		
Cash & Cash Equivalent	2,583,193	
Fair Value Through Profit or Loss -bonds	7,608,449	
Fair Value Through Profit or Loss -equity	225,845	
FVOCI	16,084,889	
Amortised cost	49,521	
Trade Receivable	-	
Reinsurance Assets	136,282	
Other Receivable & Prepayment	6,660	
Investment properties	5,080,000	
Investment in Subsidiary	-	
Investment in Associate	-	
Deferred Tax Asset	-	
Intangible assets	-	
Property Plant & Equipment	802,070	
Right of Use Assets	42,309	
Statutory Deposit	200,000	
Total Admissible Assets (a)		32,819,218
Insurance Contract Liabilities	41,018,946	
Investment Contract Liabilities	3,599,602	
Employee Benefit	31,621	
Borrowing	33,026	
Trade Payable	683,156	
Provision & Other Payables	620,167	
Dividend Payable	0	
Provision for Current Tax	582,882	
Total Admissible Liabilities (b)		46,569,400
SOLVENCY MARGIN (a-b)		(13,750,182)
Subject to Higher of:		
15% of Net premium income	519,160	
or		
Minimum Capital Requirement	2,000,000	2,000,000
Surplus/(Deficit)		(15,750,182)
Gross Solvency ratio		-788%
Net Solvency ratio		-888%

The company's capital objectives are to ensure that the company is properly capitalized and funded at all times, having regard to its regulatory needs, prudent management and the needs of all stakeholders

Precisely, the company has adopted the following capital management policies:

- (i) Maintenance, as a minimum, of capital sufficient to meet the statutory requirement.
- (ii) An Economic Capital at Risk (ECaR) approach is also used by the management and the board to ensure that obligations to policyholders can be met in adverse circumstances
- (iii) Maintenance of an appropriate level of liquidity at all times. The company further ensures that it can meet its expected capital and financing needs at all times, having regard to business plans to guarantee its going concern status, forecast and any strategic initiatives

The minimum capital required is compared with the equity maintained during the period in the table below:

	ACTUAL	
	30-Jun-22 N'000	31-Dec-21 N'000
Shareholders' equity	(7,809,254)	(4,292,684)
Capital requirement on regulatory basis	2,000,000	2,000,000
Shortfall in Solvency Margin	(15,750,182)	(12,261,670)
Shortfall in Asset cover for contract liabilities	(22,595,692)	(23,247,475)

5 Critical accounting estimates and judgements

When preparing the financial statements management undertakes a number of judgements, estimates and assumptions about recognition and measurement of assets, liabilities, income and expenses. The actual results are likely to differ from the judgements, estimates and assumptions made by management, and will seldom equal the estimated results. Information about the significant judgements, estimates and assumptions that have the most significant effect on the recognition and measurement of assets, liabilities, income and expenses are discussed below.

5.1 The ultimate liability arising from claims made under insurance contracts

The estimation of the ultimate liability arising from claims made under insurance contracts is the Group's most critical accounting estimate. There are several sources of uncertainty that need to be considered in the estimate of the liability that the Group will ultimately pay for such claims.

5.2 Sources of uncertainty in the estimation of future claim payments

Claims on contracts are payable on a claims-occurrence basis. The Group is liable for all insured events that occurred during the term of the contract, even if the loss is discovered after the end of the contract term. As a result, liability claims are settled over a long period of time, and a larger element of the claims provision relates to incurred but not reported claims (IBNR).

Uncertainty in the estimation of future benefits payments and premium receipts for insurance contracts arises from the unpredictability of long-term changes in variables such as the overall levels of mortality, accident level and the variability in policyholder behavior.

The insurance liabilities have been made on the following principles:-

Type of Business	Valuation Method
Individual Risk Business	Gross premium
Individual Deposit Based business	Deposit reserve: Account balance at val. Date Risk reserve: Gross premium
Group Life	UPR + IBNR
Group Deposit Administration	Deposit reserve: Account balance at val. Date

5.2.1 Individual business

A gross premium method is adopted for individual traditional risk business. This is a monthly cash flow approach taking into account the incidence of all expected future cash flows including office premiums, expenses and benefit payments, satisfying the Liability Adequacy Test. This implies that no further testing is required as a result of the implementation of the IFRS; or in other words the liability adequacy test has been met implicitly and a separate liability calculation will not be required for accounting purposes.

Negative reserves will be zeroised at the valuation date.

5.2.2 Individual Deposit Based business

A reserve for the Individual and group deposit-based business (Deposit Plus Plan)

will be maintained being the amount standing to the credit of the policyholders (account balance) at the valuation date.

Reserves for the supplementary life cover and expenses for individual deposit based business will be calculated using a gross premium cash flow approach as described in above. This is the present value of future guaranteed risk related benefit costs and expenses, less future risk premiums

5.2.3 Group life

Reserves for Group Life business will comprise an unexpired premium reserve (UPR)

and where necessary, a reserve for Incurred But Not Reported Claims (IBNR) to make an allowance for the delay in reporting of claims.

The UPR will represent the unexpired portion of the premium for each scheme, net of an expense margin reflecting the acquisition cost loadings. The adequacy of the UPR will be tested by comparing against an Additional Unexpired Risk Reserve (AURR), which will be calculated using pooled industry claims data for the underlying assumptions. An AURR will be held in cases where the UPR is deemed insufficient to meet claims in respect of the unexpired period.

A loss ratio approach will be used for IBNR reserving, where the underlying claim rates are based on an analysis of historical group life claims experience, with judgement adopted where required.

No separate reserve is proposed for claims handling costs for Group Life business as these are typically insignificant in size. Any costs incurred are absorbed as part of the general business management costs.

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6	Cash and cash equivalent		Group		Company	
		30-Jun-22 N'000	31-Dec-21 N'000	30-Jun-22 N'000	31-Dec-21 N'000	
	Cash in hand	-	138	-	-	
	Cash in bank	1,157,247	424,370	1,150,796	403,576	
	Short-term bank deposits	1,498,438	965,353	1,432,398	905,053	
		<u>2,655,685</u>	<u>1,389,861</u>	<u>2,583,193</u>	<u>1,308,630</u>	
	Short Term Bank Deposit	1,517,669	998,630	1,447,045	913,398	
	Expected credit loss (note 6.1)	(19,231)	(33,277)	(14,647)	(8,345)	
		<u>1,498,438</u>	<u>965,353</u>	<u>1,432,398</u>	<u>905,053</u>	
		-	-	-	-	
6.1	Movement in ECL adjustment on cash and cash equivalent is detailed below					
		30-Jun-22 N'000	31-Dec-21 N'000	30-Jun-22 N'000	31-Dec-21 N'000	
	At 1 January	33,277	464	8,345	56	
	Movement for the year	(14,046)	32,813	6,302	8,289	
	At 30 June	<u>19,231</u>	<u>33,277</u>	<u>14,647</u>	<u>8,345</u>	
6.2	Cash and cash equivalent for the purpose of cashflow					
	Cash and cash equivalents includes cash in hand, deposits held at call with banks, other short-term highly liquid investments with original maturities of three months or less. They include:					
		30-Jun-22 N'000	31-Dec-21 N'000	30-Jun-22 N'000	31-Dec-21 N'000	
	Cash in bank	1,157,247	424,370	1,150,796	403,576	
	Short-term bank deposits	1,517,669	998,630	1,447,045	913,398	
	Bank overdraft (See Note 24)	-	(23,922)	-	-	
		<u>2,674,916</u>	<u>1,399,078</u>	<u>2,597,841</u>	<u>1,316,974</u>	
7	Financial assets					
7.1	FVTPL - Quoted equities					
	These are quoted equities in the Nigerian Stock Exchange, the fair value were determined by reference to the quoted closing bid price at the end of the reporting year derived as follows:					
		30-Jun-22 N'000	31-Dec-21 N'000	30-Jun-22 N'000	31-Dec-21 N'000	
	Quoted equity securities	225,845	147,544	225,845	147,544	
		<u>225,845</u>	<u>147,544</u>	<u>225,845</u>	<u>147,544</u>	
7.1i	Movement in FVTPL - Quoted equities					
	At 1 January	147,544	1,020,938	147,544	1,020,938	
	Addition	-	-	-	-	
	Transfer to Conau Trade and Investment Limited (note 7.1ii)	-	(780,000)	-	(780,000)	
	Disposal	-	(5,802)	-	(5,802)	
	Fair value changes	78,300	(87,592)	78,300	(87,592)	
	At 30 June	<u>225,844</u>	<u>147,544</u>	<u>225,844</u>	<u>147,544</u>	
7.1ii	**During the year, the entity's investment in quoted equities of 3,900,000,000 units in universal Insurance Plc.s was transfer to CONAU Trade and Investment Limited as part of the purchase consideration towards the re-acquisition of its investment in PAL Pensions Limited at market value of N780 million included in the disposal amount above.					
7.2	FVTPL - Debt Securities (bonds)					
	Government and corporate bonds	7,606,998	17,143,968	7,606,998	17,143,968	
	Fair value changes	1,451	(6,729,396)	1,451	(6,729,396)	
		<u>7,608,449</u>	<u>10,414,572</u>	<u>7,608,449</u>	<u>10,414,572</u>	
7.2i	Net fair value gains/(loss)					
	Fair value gain on equity shares	78,300	(87,592)	78,300	(87,592)	
	Fair value gain on Bonds	1,451	(6,729,396)	1,451	(6,729,396)	
		<u>79,751</u>	<u>(6,816,988)</u>	<u>79,751</u>	<u>(6,816,988)</u>	
7.3	FVOCI (Unquoted Equities)					
	The unquoted equities carried as fair value through Other Comprehensive Income financial assets were fair valued using the fund prices advised by the investee companies					
	Investment in PAL Pension Limited (note 7.3ii)	15,992,050	15,992,050	15,992,050	15,992,050	
	Other unquoted equities (note 7.3i)	97,857	97,127	92,839	92,839	
		<u>16,089,907</u>	<u>16,089,177</u>	<u>16,084,889</u>	<u>16,084,889</u>	
7.3i	Movement in FVOCI - other unquoted equities					
	At 1 January	97,127	97,146	92,839	92,839	
	Translation adjustment	730	(19)	-	-	
	Fair value changes	-	-	-	-	
	At 30 June	<u>97,857</u>	<u>97,127</u>	<u>92,839</u>	<u>92,839</u>	
7.3ii	Movement in FVOCI - PAL Pension Limited					
	At 1 January	15,992,050	-	15,992,050	-	
	Repurchase of PAL Pension Limited	-	18,600,000	-	18,600,000	
	Increase/(decrease) in equity accounted investment in PAL Pension Limited	-	-	-	-	
	Fair Value loss at the date of repurchase- Note 30	-	(6,100,000)	-	(6,100,000)	
	Fair value reserve on PAL Pension Limited as at reporting date (note 30)	-	-	-	-	
	At 30 June	<u>15,992,050</u>	<u>3,492,050</u>	<u>15,992,050</u>	<u>3,492,050</u>	
		<u>15,992,050</u>	<u>15,992,050</u>	<u>15,992,050</u>	<u>15,992,050</u>	
	During the year, the Company repurchased its investment in Pensions Alliance Limited at the value stated above to be recognised as an unquoted equities					
7.4	Amortised cost - Debt securities					
	Commercial paper	-	21,310	-	21,310	
	Corporate bond	43,707	60,995	43,707	60,995	
	Promissory notes	7,950	-	7,950	-	
	Treasury Bills	-	5,803	-	5,803	
	ECL Adjustment as at 30 June	(2,136)	(1,932)	(2,136)	(1,932)	
		<u>49,521</u>	<u>86,176</u>	<u>49,521</u>	<u>86,176</u>	
7.4i	Movement in Amortised cost - Debt securities					
	At 1 January	88,108	82,261	88,108	82,261	
	Additions	-	5,847	-	5,847	
	Redemption	(36,451)	-	(36,451)	-	
	ECL Adjustment	(2,136)	(1,932)	(2,136)	(1,932)	
	At 30 June	<u>49,521</u>	<u>86,176</u>	<u>49,521</u>	<u>86,176</u>	
7.4ii	Movement in ECL adjustment on Amortised cost - Debt securities					
	At 1 January	(1,932)	(2,021)	(1,932)	(2,021)	
	Movement for the year	(204)	89	(204)	89	
	At 30 June	<u>(2,136)</u>	<u>(1,932)</u>	<u>(2,136)</u>	<u>(1,932)</u>	

AFRICAN ALLIANCE INSURANCE PLC
NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 JUNE 2022

	Group		Company	
	30-Jun-22 N'000	31-Dec-21 N'000	30-Jun-22 N'000	31-Dec-21 N'000
8 Trade receivables				
Premium receivables	102,277	88,884	-	-
Trade debtors	58,159	58,159		
Impairment allowance	(58,159)	(58,159)		
	102,277	88,884		
Movement in impairments of trade receivables				
At 1 January	58,159	58,159	-	-
Additional charge during the year	-	-	-	-
At 30 June	58,159	58,159	-	-
9 Reinsurance assets: This is analysed as follows				
Reinsurance Claims recoverables	23,166	-	23,166	-
Reinsurance share of claims Incurred But Not Reported (IBNR) (note 9 (i))	91,533	91,533	91,533	91,533
Prepaid reinsurance (note 9(ii))	21,583	21,583	21,583	21,583
	136,282	113,116	136,282	113,116

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 JUNE 2022**

		Group		Company	
		30-Jun-22	31-Dec-21	30-Jun-22	31-Dec-21
		N'000	N'000	N'000	N'000
9 (i) Movement in reinsurance share of claims Incurred But Not Reported (IBNR)					
At 1 January		91,533	286,409	91,533	286,409
Changes during the year		-	(194,876)	-	(194,876)
At 30 June		91,533	91,533	91,533	91,533
9 (ii) Prepaid reinsurance					
At 1 January		21,583	19,272	21,583	19,272
		-	-	-	-
Amortised in the year-reinsurance expense		-	2,311	-	2,311
At 30 June		21,583	21,583	21,583	21,583
10 Other receivables and prepayments					
		30-Jun-22	31-Dec-21	30-Jun-22	31-Dec-21
		N'000	N'000	N'000	N'000
Mortgage Loans- staff		15,012	16,597	15,012	16,597
Policy loans		197,008	204,750	183,313	183,756
Due from agents		36,617	61,665	36,618	61,665
Investment Income Recievable		5,329	4,654	0	-
Prepayment Rent		6,169	5,579	6,169	5,579
Prepayment - Others		202,432	122,384	199,031	63,626
Staff Loans & Receivables		8,253	-	6,660	7,061
Deposit for Investment (note 10.2)		-	-	1,628,616	1,628,616
Due from related company (note 10.3)		1,600,267	1,600,267	1,600,267	1,600,267
Investment receivable on loans		-	2,134	-	-
Withholding tax receivable		2,467	268,061	-	268,061
Stock of raw materials & consumables		7,039	5,956	3,571	2,453
Staff share loans		2,131,790	2,131,790	2,131,790	2,131,790
Other receivables		351,995	500,706	351,995	547,275
		4,564,379	4,924,543	6,163,042	6,516,746
Impairment allowance (note 10.1c)		(3,798,586)	(3,806,555)	(3,800,841)	(3,806,555)
		765,793	1,117,988	2,362,200	2,710,191
Current		-	-	(322,943)	-
Non-current		765,793	1,117,988	2,685,143	2,710,191
		765,793	1,117,988	2,362,200	2,710,191

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 JUNE 2022**

	Group		Company	
	30-Jun-22 N'000	31-Dec-21 N'000	30-Jun-22 N'000	31-Dec-21 N'000
10.1a The Movement in Other receivables and prepayments				
At 1 January	4,924,544	4,535,076	6,516,746	5,091,424
Transfer from Loans and Receivables	-	-	-	-
Additional deposit for investment in Ghana Life	-	-	-	1,000,000
Balances written off against provision	-	-	-	-
Movement during the year	(360,165)	389,468	(353,704)	425,322
At 30 June	<u>4,564,379</u>	<u>4,924,544</u>	<u>6,163,042</u>	<u>6,516,746</u>

10.1b Staff Share Loan:

This amount is made up of African Alliance Company Plc share purchased during the private placement exercise on behalf of staff of the company and this has been fully impaired.

	Group		Company	
	30-Jun-22 N'000	31-Dec-21 N'000	30-Jun-22 N'000	31-Dec-21 N'000
10.1c The Movement in impairment allowance is as follow				
At 1 January	3,806,555	3,938,532	3,806,555	3,938,457
Reclassification to/from loans and receivables	-	-	-	-
Additional Impairment on loans and receivables	-	-	-	-
Impairment on Short term loan	-	-	-	-
Impairment allowance no longer required	(7,969)	(114,759)	(5715)	(114,684)
Impairment on Other receivables	-	-	-	-
Balances written off against provision	-	(17,218)	-	(17,218)
At 30 June	<u>3,798,586</u>	<u>3,806,555</u>	<u>3,800,840</u>	<u>3,806,555</u>

10.1d Impairment allowance				
Policy Loans	39,070	18,407	41,326	18,407
Mortgage staff loans	2,963	5,914	2,963	5,914
Due from agents	764	26,446	764	26,446
Investment income receivables	-	-	-	-
Deposit for investment	-	-	-	-
Due to related company	1,600,267	1,600,267	1,600,267	1,600,267
Staff Account Receivable	-	-	-	-
Staff Share loan	7,002	7,002	7,002	7,002
Short term loan	2,131,790	2,131,790	2,131,790	2,131,790
Other receivables	-	-	-	-
	<u>16,729</u>	<u>16,729</u>	<u>16,729</u>	<u>16,729</u>
	<u>3,798,586</u>	<u>3,806,555</u>	<u>3,800,841</u>	<u>3,806,555</u>

	Group		Company	
	30-Jun-22 N'000	31-Dec-21 N'000	30-Jun-22 N'000	31-Dec-21 N'000
10.2 Deposits for shares/Investment				
Ghana Life Insurance Limited			1,628,616	1,628,616
	<u>-</u>	<u>-</u>	<u>1,628,616</u>	<u>1,628,616</u>
Movement in Deposit for Shares				
At 1 January				628,616
Addition				1,000,000
At 30 June				<u>1,628,616</u>
10.3 Due from related company				
African Alliance Holding Limited	-	-	-	-
Universal Insurance Company Plc	1,600,267	1,600,267	1,600,267	1,600,267
	<u>1,600,267</u>	<u>1,600,267</u>	<u>1,600,267</u>	<u>1,600,267</u>
10.4 Movement in impairment allowance				
At 1 January	1,600,267	1,600,267	1,600,267	1,600,267
Impairment charge/(written back) for the year	-	-	-	-
At 30 June	<u>1,600,267</u>	<u>1,600,267</u>	<u>1,600,267</u>	<u>1,600,267</u>

AFRICAN ALLIANCE INSURANCE PLC

NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 JUNE 2022

11	Deferred acquisition costs	Group		Company	
	(i) Analysis by	30-Jun-22 N'000	31-Dec-21 N'000	30-Jun-22 N'000	31-Dec-21 N'000
	Group Life	-	-	-	-
	Current	-	-	-	-
	(ii) Movement in Deferred Acquisition Cost				
	Balance at beginning of period	-	-	-	-
	Acquisition cost during the period	-	-	-	-
	Amortised in the period-acquisition expenses (see note 34)	-	-	-	-
	At 30 June	-	-	-	-
12	Investment properties				
	At 1 January	9,668,536	10,774,958	8,030,000	8,969,500
	Acquisition / (Disposal)	-	-	-	-
	Translation adjustment	(16,319)	(359,972)	-	(860,000)
	Disposal	-	(860,000)	-	(860,000)
	Transfer to Building	-	(165,000)	-	(165,000)
	Fair value gain on revaluation	-	278,550	-	85,500
	At 30 June	9,652,217	9,668,536	8,030,000	8,030,000
	Of the investment properties, the following relates to insurance Funds:				
	Insurance funds	6,702,216	6,520,966	5,080,000	5,080,000
	Shareholders funds	2,950,000	3,147,570	2,950,000	2,950,000
		9,652,216	9,668,536	8,030,000	8,030,000

	30-Jun-22 N'000	31-Dec-21 N'000	30-Jun-22 N'000	31-Dec-21 N'000
12.1	A brief descriptions of the properties held by Company are as follows			
13/17 Breadfruit Street, Lagos Island, Lagos State.	1,990,000	1,990,000	1,990,000	1,990,000
Pankere Village, Near Abijo GRA, Ibeju Lekki L.G.A, Lagos State.	2,950,000	2,950,000	2,950,000	2,950,000
245 Aba Road, Port- Harcourt, Rivers state.	870,000	870,000	870,000	870,000
Plot 2220/ No. 36, Suez Crescent, Wuse Zone 4, Abuja	885,000	885,000	885,000	885,000
73 Oyemekun Road, Akure, Ondo State.	29,000	29,000	29,000	29,000
No 9B Crescent B, Oba Oyekan Estate, Lekki Phase 1, Lagos state	75,000	75,000	75,000	75,000
4 bedroom duplex, Ajah road, Ajah, Lagos	-	-	-	-
29A Akin Adesola Street, Victoria Island, Lagos	-	-	-	-
No. 112 Broad Street Lagos.	1,231,000	1,231,000	1,231,000	1,231,000
Land & Residential properties held in Ghana Life Insurance	1,622,217	1,638,536	-	-
	9,652,217	9,668,536	8,030,000	8,030,000
A brief descriptions of the properties held by the company in its name are as follows:				
13/17 Breadfruit Street, Lagos Island, Lagos State.	1,990,000	1,990,000	1,990,000	1,990,000
No 9B Crescent B, Oba Oyekan Estate, Lekki Phase 1, Lagos state	75,000	75,000	75,000	75,000
4 bedroom duplex, Ajah road, Ajah, Lagos	-	-	-	-
73 Oyemekun Road, Akure, Ondo State.	29,000	29,000	29,000	29,000
No. 112 Broad Street Lagos.	1,231,000	1,231,000	1,231,000	1,231,000
Plot 2220/ No. 36, Suez Crescent, Wuse Zone 4, Abuja	885,000	885,000	885,000	885,000
29A, Akin Adesola Street, Victoria Island	-	-	-	-
245 Aba Road, Port- Harcourt, Rivers state.	870,000	870,000	870,000	870,000
Land & Residential properties held in Ghana Life Insurance	1,622,217	1,638,536	-	-
	6,702,216	6,718,536	5,080,000	5,080,000
A brief descriptions of the properties held by the company in the name of Conau Limited are as follows:				
Pankere Village, Near Abijo GRA, Ibeju Lekki L.G.A, Lagos State.	2,950,000	2,950,000	2,950,000	2,950,000
	-	-	-	-
	-	-	-	-
	2,950,000	2,950,000	2,950,000	2,950,000
Total investment property	9,652,216	9,668,536	8,030,000	8,030,000

Investment properties are carried at fair value as at 31 December 2021 which has been determined by an independent professional valuer, AC Otegbulu & Partners Estate Surveyors & valuers, a registered member of Financial Reporting Council of Nigeria (FCRN/2013/NIESV/0000001582). Valuations are performed on an annual basis and the fair value gains and losses are recognised in the profit or loss are recognised in the profit or loss account

The Properties have been valued using the fair value basis. The fair value of all the properties are determined using recent comparable prices i.e the highest price in terms of money, which the subject property assets will fetch in an open and competitive market under all conditions requisite to a fair sale.

None of the assets above are encumbered or pledged as security for loan

12.2	Movement in Investment Properties Group	Opening balance N'000	Additions N'000	Disposal N'000	Fair value/Translation	
					Adjustment N'000	Closing balance N'000
	13/17 Breadfruit Street, Lagod Island, Lagos State.	1,990,000		-	-	1,990,000
	Pankere Village, Near Abijo GRA, Ibeju Lekki L.G.A, Lagos State.	2,950,000		-	-	2,950,000
	245 Aba Road, Port- Harcourt, Rivers state.	870,000		-	-	870,000
	Plot 2220/ No. 36, Suez Crescent, Wuse Zone 4, Abuja	885,000		-	-	885,000
	73 Oyemekun street, Akure	29,000		-	-	29,000
	No 9B Crescent B, Oba Oyekan Estate, Lekki Phase 1, Lagos state	75,000		-	-	75,000
	4 bedroom duplex, Ajah road, Ajah, Lagos	-	-	-	-	-
	29A Akin Adesola Street, Victoria Island, Lagos	-	-	-	-	-
	No. 112 Broad Street Lagos.	1,231,000		-	-	1,231,000
	Land & Residential properties held in Ghana Life Insurance	1,638,536		-	(16,319)	1,622,217
		9,668,537	-	-	(16,319)	9,652,217

Company	Description	Opening balance N'000	Additions N'000	Disposal N'000	Fair value N'000	Closing balance N'000
	13/17 Breadfruit Street, Lagod Island, Lagos State.	1,990,000	-	-		1,990,000
	Pankere Village, Near Abijo GRA, Ibeju Lekki L.G.A, Lagos State.	2,950,000	-	-		2,950,000
	245 Aba Road, Port- Harcourt, Rivers state.	870,000	-	-		870,000
	Plot 2220/ No. 36, Suez Crescent, Wuse Zone 4, Abuja	885,000	-	-		885,000
	73 Oyemekun street, Akure	29,000	-	-		29,000
	No 9B Crescent B, Oba Oyekan Estate, Lekki Phase 1, Lagos state	75,000	-	-		75,000
	4 bedroom duplex, Ajah road, Ajah, Lagos	-	-	-		-
	29A Akin Adesola Street, Victoria Island, Lagos	-	-	-		-
	No. 112 Broad Street Lagos.	1,231,000	-	-		1,231,000
		8,030,000	-	-	-	8,030,000

12.3 INVESTMENT PROPERTIES NOT IN THE NAME OF AFRICAN ALLIANCE

FOR THE PERIOD ENDED 30 JUNE 2022

PROPERTIES	TITLE OF DOCUMENTS	DATE OF ACQUISITION	TITLE DOCUMENT NO	LOCATION	CARRYING AMOUNT N'000
Land at Pankere Village, Abijo	Deed of Assignment & Governor's Consent for Application to assignment between Land Owner and Conau Limited	Year 2008	N/A	Abijo GRA Ibeju Lekki, Lagos state	2,950,000

INVESTMENT PROPERTIES IN THE NAME OF AFRICAN ALLIANCE

FOR THE PERIOD ENDED 30 JUNE 2022

PROPERTIES	TITLE OF DOCUMENTS	DATE OF ACQUISITION	TITLE DOCUMENT NO	LOCATION	CARRYING AMOUNT N'000
Property Breadfruit Street Ma	Lagos State Government Land Certificate and Deed of Assignment	Year 1960	L03746	13/17 Breadfruit Street, Lagos	1,990,000
Duplex at Sani Abacha Estate	Deed of Assignment between Federal Republic of Nigeria represented by EFCC and Conau Limited	Year 2008	N/A	2220 Suez Canal Crescent Sani Abacha Estate, Abuja	885,000
Property Rumuogba Layout, Aba road, Port Harcourt	Deed of Assignment & Certificate of Occupancy	Year 2008	N/A	Plot C4, Rumuogba Layout, Aba road, Port Harcourt	870,000
73 Oyemekun street, Akure	Certificate of Right of Occupancy	Year 1983	N/A	73 Oyemekun street, Akure	29,000
Property at Millennium Housin	Lagos State Government Allocation Letter	Year 2004	N/A	Block B House 9B Oba Adeyinka Oyekan Housing Estate Lekki, Lagos	75,000
4 bedroom duplex, Ajah road	Deed of Assignment	Year 2009	N/A	Lekki Epe Expressway, Ajah Town, Lagos	0
Property 112 Broad Street, La	Lagos State Government Land Certificate and Deed of Assignment	Year 1961	L03990	112 Broad Street, La	1,231,000

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 JUNE 2022**

13 Investment in subsidiary

The company's investment in subsidiary is as stated below:

	Group		Company	
	30-Jun-22 N'000	31-Dec-21 N'000	30-Jun-22 N'000	31-Dec-21 N'000
Axiom Air Limited (Note 13a)	-	-	3,000,000	3,000,000
Ghana Life Insurance Company Limited (Note 13b)	-	-	1,770,741	1,770,741
	<u>-</u>	<u>-</u>	<u>4,770,741</u>	<u>4,770,741</u>
Impairment allowance (note 13d)	-	-	(4,228,012)	(4,228,012)
	<u>-</u>	<u>-</u>	<u>542,729</u>	<u>542,729</u>

13a Axiom Air Limited:-

The movement in Axiom Air Limited is as follows:

At 1 January			3,000,000	3,000,000
Additions, during the period (capital injection)			-	-
Impairment allowance			(3,000,000)	(3,000,000)
	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>

The company was incorporated on 17 July 2008 to carry on the business of airline owners and management, provide air transport for public use; to provide all necessary and or desirable services incidental to this objective, including booking, reservation, routing and ticketing services, baggage management, flight catering and entertainment and provision of hotel accommodation. The company is wholly owned.

13b Ghana Life Insurance Company Limited

The movement in Ghana Life Limited is as follows:

At 1 January			1,770,741	1,770,741
Additions, during the period (capital injection)			-	-
Impairment allowance			(1,228,013)	(1,228,013)
	<u>-</u>	<u>-</u>	<u>542,728</u>	<u>542,728</u>

The company is a subsidiary of African Alliance Insurance Plc. The company is domiciled in Ghana and is permitted by its regulation to carry on the business of life insurance.

13c Movement in the impairment allowance in Ghana life is as follows

	Company	
	30-Jun-22 N'000	31-Dec-21 N'000
At 1 January	1,228,013	1,228,013
Impairment charge/(written back) for the year	-	-
	<u>1,228,013</u>	<u>1,228,013</u>

13d Movement in impairment allowance in investment in subsidiary

At 1 January	4,228,012	4,228,012
Impairment charge/(written back) for the year	-	-
At 30 June	<u>4,228,012</u>	<u>4,228,012</u>

Movement in impairment charge

	At 1 Jan 2021	Additional charge	30-Jun-22
Axiom Air Limited	3,000,000	-	3,000,000
Ghana Life Insurance company	1,228,012	-	1,228,012
	<u>4,228,012</u>	<u>-</u>	<u>4,228,012</u>

14 Investment In associate

Investment in Pension Alliance Limited

The movement in investment in associate is as follow:

	Group		Company	
	30-Jun-22 N'000	31-Dec-21 N'000	30-Jun-22 N'000	31-Dec-21 N'000
Investment in Pension Alliance Limited	-	-	-	-
	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>
	Group		Company	
	30-Jun-22 N'000	31-Dec-21 N'000	30-Jun-22 N'000	31-Dec-21 N'000
At 1 January	-	-	-	-
Effect of prior year errors	-	-	-	-
Share of profit after taxation: @ 49%	-	-	-	-
Less: Dividend received	-	-	-	-
Disposals	-	-	-	-
At 30 June	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>

This represents the Company's 49% holding in Pensions Alliance Limited. The associated company is engaged in the provision of pension services in accordance with the Pension Reform Act. The financial year end of the company is 31 December. During the year the associates was disposed and the gain on disposal has been incorporated into the financials.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 JUNE 2022**

15	Intangible assets	Group			Company	
		Software in Progress	Computer Software N'000	Total N'000	Computer Software N'000	Total N'000
	Cost					
	At 1 January 2022	24,375	146,964	168,109	134,307	134,307
	Translation adjustment			-		
	Additions		14,725	14,725	14,725	14,725
	At 30 June 2022	24,375	161,689	182,834	149,032	149,032
	Amortisation					
	At 1 January 2022	-	114,858	105,943	104,880	104,880
	Translation adjustment		(2,823)	(2,823)		
	Charge for the period		7,288	7,288	5,861	5,861
	At 30 June 2022	-	119,323	110,408	110,741	110,741
	Net book amount					
	At 30 June 2022	24,375	42,366	72,426	38,291	38,291
	At 31 Dec 2021	24,375	32,106	62,166	29,427	29,427

15.1	Intangible asset	Group			Company	
		Software in Progress	Computer Software N'000	Total N'000	Computer Software N'000	Total N'000
	Cost					
	At 1 January 2021	30,028	138,081	168,109	122,488	122,488
	Translation adjustment	(5,653)	(2,936)	(8,589)	-	-
	Additions		11,819	11,819	11,819	11,819
	At 31 December 2021	24,375	146,964	171,339	134,307	134,307
	Amortisation					
	At 1 January 2021		105,943	105,943	96,769	96,769
	Translation adjustment		(2,021)	(2,021)		-
	Charge for the year		10,936	10,936	8,111	8,111
	At 31 December 2021	-	114,858	114,858	104,880	104,880
	Net book amount					
		24,375	32,106	56,481	29,427	29,427
		-	-	-	-	-

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 JUNE 2022**

16	Property and equipment Group	Land	Building	Motor Vehicles	Furniture & Fittings	Computer Equipment	Office Equipment	Plant & Machinery	Aircraft	Total
		N'000		N'000	N'000	N'000	N'000			N'000
	Cost									
	At 1 January 2022	98,000	1,184,444	449,317	251,773	335,994	398,257	9,171	2,281,122	5,008,078
	Additions	(0)		28,702	0	2,447	591	-	-	31,740
	Disposal	-	-	-	-	-	-	-	-	-
	Exchange adjustment		(10,445)							(10,445)
	Revaluation	-							-	-
	At 30 June 2022	98,000	1,173,999	478,019	251,773	338,441	398,848	9,171	2,281,122	5,029,373
	Depreciation and impairment									
	At 1 January 2022	-	10,906	288,881	138,584	231,355	171,312	9,171	2,281,122	3,131,331
	Charge for the year	-	1,167	29,633	9,592	20,564	18,646	-	-	79,603
	Disposal	-	-	-	-	-	-	-	-	-
	Exchange adjustment	-								-
	Revaluation	-								-
	At 30 June 2022	-	12,073	318,514	148,176	251,919	189,958	9,171	2,281,122	3,210,934
	Net book amount									
	At 30 June 2022	98,000	1,161,926	159,505	103,597	86,522	208,890	-	-	1,818,440
	At 31 December 2021	98,000	1,173,538	160,436	113,189	104,639	226,945	-	-	1,876,747

NOTES TO THE FINANCIAL STATEMENTS

Property and equipment

	Land	Building	Motor Vehicles	Furniture & Fittings	Computer Equipment	Office Equipment	Plant & Machinery	Aircraft	Total
	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Cost									
At 1 January 2021	93,000	1,162,835	285,093	248,193	348,604	388,148	9,171	2,281,122	4,816,166
Additions	-	-	166,067	15,349	16,824	10,584	-	-	208,824
Disposal	-	-	(5,394)	(9,340)	(20,550)	(475)	-	-	(35,759)
Transfer from investment properties	-	165,000	-	-	-	-	-	-	165,000
Translation adjustment	-	(224,899)	3,551	(2,429)	(8,884)	-	-	-	(232,661)
Revaluation	5,000	81,508	-	-	-	-	-	-	86,508
	-	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	-	-
At 31 December 2021	98,000	1,184,444	449,317	251,773	335,994	398,257	9,171	2,281,122	5,008,078
Depreciation									
At 1 January 2021	-	-	210,111	125,106	214,835	134,368	9,171	2,281,122	2,974,713
Charge for the year	-	12,061	76,291	18,615	42,337	37,419	-	-	186,723
Disposal	-	-	(2,697)	(6,511)	(18,955)	(475)	-	-	(28,638)
Translation adjustment	-	(1,155)	5,176	1,374	(6,862)	-	-	-	(1,467)
Revaluation	-	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	-	-
At 31 December 2021	-	10,906	288,881	138,584	231,355	171,312	9,171	2,281,122	3,131,331
Net book amount									
At 31 December 2021	98,000	1,173,538	160,436	113,189	104,639	226,945	-	-	1,876,747

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**Property and equipment
Company**

	Land	Building N'000	Motor Vehicles N'000	Furniture & Fittings N'000	Computer Equipment N'000	Office Equipment N'000	Total N'000
Cost							
At 1 January 2022	98,000	170,000	416,641	214,394	301,811	398,257	1,599,103
Additions	(0)	(0)	28,702	0	2,447	591	31,740
Disposal	-	-	-	-	-	-	-
Revaluation	-	-	-	-	-	-	-
At 30 June 2022	98,000	170,000	445,343	214,394	304,258	398,848	1,630,843
Depreciation							
At 1 January 2022	-	950	256,204	115,792	207,109	171,311	751,366
Charge for the year	-	1,167	29,633	8,797	19,164	18,646	77,407
Disposal	-	-	-	-	-	-	-
	-	-	-	-	-	-	-
At 30 June 2022	-	2,117	285,837	124,589	226,273	189,957	828,773
Net book amount							
At 30 June 2022	98,000	167,883	159,506	89,805	77,985	208,891	802,070
At 31 December 2021	98,000	169,050	160,437	98,603	94,702	226,945	847,736

Property and equipment

	Land	Building N'000	Motor Vehicles N'000	Furniture & Fittings N'000	Computer Equipment N'000	Office Equipment N'000	Total N'000
Cost							
At 1 January 2021	93,000	-	250,574	199,373	288,321	388,147	1,219,415
Additions	-	-	166,067	15,349	16,824	10,584	208,824
Disposal	-	-		(328)	(3,334)	(475)	(4,137)
Transfer from Investment Properties		165,000					165,000
Revaluation	5,000	5,000	-	-	-	-	10,000
			-	-	-	-	-
At 31 December 2021	98,000	170,000	416,641	214,394	301,811	398,256	1,599,102
Depreciation							
At 1 January 2021	-	-	192,851	98,724	171,805	134,367	597,747
Charge for the year	-	950	63,353	17,395	38,639	37,419	157,756
Disposal	-			(327)	(3,334)	(475)	(4,137)
Arising on liquidation							-
Revaluation	-		-				-
At 31 December 2021	-	950	256,204	115,792	207,109	171,311	751,366
Net book amount							
At 31 December 2021	98,000	169,050	160,437	98,603	94,702	226,945	847,736

**NOTES TO THE FINANCIAL STATEMENTS
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	Group		Company	
	Actual 30-Jun-22 N'000	Actual 31-Dec-21 N'000	Actual 30-Jun-22 N'000	Actual 31-Dec-21 N'000
17 Right of Use Assets				
At 1 January	42,252	139,511	42,252	139,511
Additions	43,748	11,780	43,748	11,780
Amortizations	(43,691)	(109,039)	(43,691)	(109,039)
	<u>42,309</u>	<u>42,252</u>	<u>42,309</u>	<u>42,252</u>

18 Statutory deposit

This represents 10% of the regulatory minimum share capital deposited with the Central Bank of Nigeria as at 30 June 2022 in accordance with the requirement of section a(i) and section 10(3) of Insurance Act. Interest Income earned on this deposit is included in investment income

	Group		Company	
	30-Jun-22 N'000	31-Dec-21 N'000	30-Jun-22 N'000	31-Dec-21 N'000
Statutory deposit	<u>357,262</u>	<u>348,401</u>	<u>200,000</u>	<u>200,000</u>
Non-current	<u>357,262</u>	<u>348,401</u>	<u>200,000</u>	<u>200,000</u>

19 Insurance contract liabilities

GROSS

Outstanding claims (see note i)	989,295	1,047,860	910,355	968,921
Unearned premiums (see note ii)	603,994	687,666	603,051	686,724
Short term insurance contract - Claims incurred but not reported (IBNR) (see note iii)	516,497	915,330	516,497	915,330
Liability on annuity fund (see note iv)	31,148,705	29,210,367	31,148,705	29,210,367
Liability on long term insurance contract - Life fund	<u>8,592,116</u>	<u>8,991,439</u>	<u>7,840,337</u>	<u>7,309,045</u>
<i>Total Insurance liabilities (Gross)</i>	<u>41,850,607</u>	<u>40,852,662</u>	<u>41,018,946</u>	<u>39,090,388</u>
Current	997,945	9,196,352	1,928,558	8,799,646
Non-current	<u>40,852,662</u>	<u>31,656,311</u>	<u>39,090,388</u>	<u>30,290,742</u>
	<u>41,850,607</u>	<u>40,852,663</u>	<u>41,018,946</u>	<u>39,090,388</u>

Recoverable from reinsurers

Claims reported and loss adjustment expenses			-	-
Unearned premiums	21,583	21,583	21,583	21,583
IBNR on Short term insurance contract	<u>91,533</u>	<u>91,532</u>	<u>91,533</u>	<u>91,532</u>
<i>Total reinsurers' share of insurance liabilities</i>	<u>113,116</u>	<u>113,115</u>	<u>113,116</u>	<u>113,115</u>

NET

Claims reported and loss adjustment expenses	989,295	1,047,860	910,355	968,921
Unearned premiums	603,994	666,083	603,051	665,141
Claims incurred but not reported on Short term insurance contract	516,497	823,798	516,497	823,798
Liability on annuity fund	31,148,705	29,210,367	31,148,705	29,210,367
Liability on long term insurance contract (Life fund)	<u>8,592,116</u>	<u>8,991,439</u>	<u>7,840,337</u>	<u>7,309,045</u>
<i>Total Insurance liabilities (Net)</i>	<u>41,850,607</u>	<u>40,739,547</u>	<u>41,018,946</u>	<u>38,977,273</u>

(i) The movement in outstanding claims during the year was as follows:

	Group		Company	
	30-Jun-22 N'000	31-Dec-21 N'000	30-Jun-22 N'000	31-Dec-21 N'000
At 1 January	1,047,861	343,872	968,922	343,872
Additions claims incurred during the period (see note 34)	5,289,158	9,591,577	4,601,232	8,311,703
Exchange difference arising from translation		-		-
Claims paid during the period	<u>(5,347,724)</u>	<u>(8,887,588)</u>	<u>(4,659,798)</u>	<u>(7,686,652)</u>
At 30 June	<u>989,295</u>	<u>1,047,861</u>	<u>910,356</u>	<u>968,923</u>

Age of outstanding claims

	Group		Company	
	N'000	N'000	N'000	N'000
0 - 90 days	561,662	594,912	484,786	515,973
91- 180 days	175,056	185,419	174,212	185,419
181-270 days	97,697	103,481	97,226	103,481
271 -365 days	154,879	164,048	154,132	164,048
366 days and above	-	-	-	-
	<u>989,295</u>	<u>1,047,860</u>	<u>910,356</u>	<u>968,921</u>

**NOTES TO THE FINANCIAL STATEMENTS
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(ii) The movement in unearned premium during the year was as follows:

	Group		Company	
	30-Jun-22 N'000	31-Dec-21 N'000	30-Jun-22 N'000	31-Dec-21 N'000
At 1 January	687,666	550,960	686,724	550,960
Change during the year	<u>(83,672)</u>	<u>136,706</u>	<u>(83,672)</u>	<u>135,764</u>
At 30 June	<u>603,994</u>	<u>687,666</u>	<u>603,052</u>	<u>686,724</u>

(iii) The movement in IBNR claims on Short term insurance during the year was as follows:

	Group		Company	
	30-Jun-22 N'000	31-Dec-21 N'000	30-Jun-22 N'000	31-Dec-21 N'000
At 1 January	915,330	1,084,818	915,330	1,084,818
Change during the year	<u>(398,833)</u>	<u>(169,488)</u>	<u>(398,833)</u>	<u>(169,488)</u>
At 30 June	<u>516,497</u>	<u>915,330</u>	<u>516,497</u>	<u>915,330</u>

(iv) The movement in annuity fund during the year was as follows:

	Group		Company	
	30-Jun-22 N'000	31-Dec-21 N'000	30-Jun-22 N'000	31-Dec-21 N'000
At 1 January	29,210,367	41,286,681	29,210,367	41,286,681
Change during the year	<u>1,938,338</u>	<u>(12,076,314)</u>	<u>1,938,338</u>	<u>(12,076,314)</u>
At 30 June	<u>31,148,705</u>	<u>29,210,367</u>	<u>31,148,705</u>	<u>29,210,367</u>

(v) The movement in life fund contract (excluding annuity) during the year was as follows:

	Group		Company	
	30-Jun-22 N'000	31-Dec-21 N'000	30-Jun-22 N'000	31-Dec-21 N'000
At 1 January	8,991,439	9,919,101	7,309,045	7,932,322
Exchange difference from translation	-	(371,027)	-	-
Change during the year	<u>(399,323)</u>	<u>(556,635)</u>	<u>531,292</u>	<u>(623,277)</u>
At 30 June	<u>8,592,116</u>	<u>8,991,439</u>	<u>7,840,337</u>	<u>7,309,045</u>

(vi) Insurance contract liabilities at the end of the period were as follows:

	Group		Company	
	30-Jun-22 N'000	31-Dec-21 N'000	30-Jun-22 N'000	31-Dec-21 N'000
Outstanding claims	989,295	1,047,860	910,355	968,921
Unearned premiums	603,994	687,666	603,051	686,724
Short term insurance contract- IBNR	516,497	915,330	516,497	915,330
Liability on Annuity contract	31,148,705	29,210,367	31,148,705	29,210,367
Liability on long term insurance contract - Life fund	8,592,116	8,991,439	7,840,337	7,309,045
	<u>41,850,607</u>	<u>40,852,662</u>	<u>41,018,945</u>	<u>39,090,388</u>

**NOTES TO THE FINANCIAL STATEMENTS
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20 Investment contract liabilities

The investment contract liabilities comprise interest-linked guaranteed investment funds. The movement in the investment contract liabilities is shown below:

	Group		Company	
	30-Jun-22	31-Dec-21	30-Jun-22	31-Dec-21
	N'000	N'000	N'000	N'000
At 1 January	3,396,154	5,143,524	3,396,154	5,143,524
Deposits received during the year	228,028	319,735	228,028	319,735
Deposit Administration balance no longer required (note 20.3)		(675,095)		(675,095)
Withdrawals during the year	(22,579)	(1,401,160)	(22,579)	(1,401,160)
Guaranteed interest in the year	(2,001)	9,150	(2,001)	9,150
	<u>3,599,602</u>	<u>3,396,154</u>	<u>3,599,602</u>	<u>3,396,154</u>
At 30 June	<u>3,599,602</u>	<u>3,396,154</u>	<u>3,599,602</u>	<u>3,396,154</u>
Non-current	<u>3,599,602</u>	<u>3,396,154</u>	<u>3,599,602</u>	<u>3,396,154</u>

Investment contract liabilities consist of group deposit administered funds and account balance of policy holders under investment linked insurance funds. Movement in the relevant funds are detailed below

	Group		Company	
	30-Jun-22	31-Dec-21	30-Jun-22	31-Dec-21
	N'000	N'000	N'000	N'000
20.1 Liabilities on administered deposits				
At 1 January	114,191	2,141,319	114,191	2,141,319
Deposits received during the year	-	355	-	355
Deposit Administration balance no longer required (note 20.3)		(675,095)		(675,095)
Withdrawals during the year	-	(1,355,632)	-	(1,355,632)
Guaranteed interest in the year	-	3,244	-	3,244
	<u>114,191</u>	<u>114,191</u>	<u>114,191</u>	<u>114,191</u>
At 30 June	<u>114,191</u>	<u>114,191</u>	<u>114,191</u>	<u>114,191</u>
20.2 Investment linked fund				
At 1 January	3,281,964	3,002,206	3,281,964	3,002,206
Deposits received during the year	228,028	319,380	228,028	319,380
Withdrawals during the year	(22,579)	(45,528)	(22,579)	(45,528)
Guaranteed interest in the year	(2,001)	5,906	(2,001)	5,906
	<u>3,485,412</u>	<u>3,281,964</u>	<u>3,485,412</u>	<u>3,281,964</u>
At 30 June	<u>3,485,412</u>	<u>3,281,964</u>	<u>3,485,412</u>	<u>3,281,964</u>

In 2015, the Pension Transitional Arrangement Directorate (PTAD) transferred Legacy Funds and Assets for certain schemes to the Entity under the deposit Administration. A reconciliation was done by both parties to agree the total liability of N2,476,599,743.16 on 10 May 2021 and the total outstanding balance was paid into the Directorate's E- Recovery Account on 30th June 2021.

20.3 The excess of the amount carried in the books and the reconciled outstanding balance resulted in the recognition of the balance no longer required upon the certificate of Non- Indebtedness issued by PTAD on the 30th July 2021.

	Group		Company	
	30-Jun-22	31-Dec-21	30-Jun-22	31-Dec-21
	N'000	N'000	N'000	N'000
21 Trade payable				
Unallocated premium deposits	716,305	709,893	429,791	709,892
Due to co-insurance	16,633	-	16,633	-
Due To/from Reinsurance	236,396	236,396	236,396	236,396
Trade creditors	288,249	238,586	336	336
	<u>1,257,583</u>	<u>1,184,875</u>	<u>683,156</u>	<u>946,624</u>
Current	<u>1,257,583</u>	<u>1,184,875</u>	<u>683,156</u>	<u>946,624</u>
Unallocated premium deposits				
At 1 January	709,893	487,796	728,034	487,796
Movement during the year	6,412	222,097	(298,243)	222,096
	<u>716,305</u>	<u>709,893</u>	<u>429,791</u>	<u>709,892</u>

	Group		Company	
	30-Jun-22 N'000	31-Dec-21 N'000	30-Jun-22 N'000	31-Dec-21 N'000
22 Other payables and accruals				
Due to related party	547,673	-	-	-
Agent savings	165,103	162,135	163,957	162,135
PAYE and other withholding taxes payable	34,599	82,248	31,124	80,419
Provisions and accruals	43,988	132,652	5,782	61,700
Rent receivable	83,489	76,234	83,489	76,234
Staff salary payables	10,109	-	-	-
Other creditors	379,878	483,146	335,816	418,093
	<u>1,264,840</u>	<u>936,415</u>	<u>620,167</u>	<u>798,582</u>
Current (Payable within the period)				

	Group		Company	
	30-Jun-22 N'000	31-Dec-21 N'000	30-Jun-22 N'000	31-Dec-21 N'000
23.1 Retirement benefit asset				
	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>
23.2 Retirement benefit liabilities				
Staff pension scheme	31,621	35,652	31,621	35,652
Staff defined benefit plan	-	-	-	-
	<u>31,621</u>	<u>35,652</u>	<u>31,621</u>	<u>35,652</u>

	Group		Company	
	30-Jun-22 N'000	31-Dec-21 N'000	30-Jun-22 N'000	31-Dec-21 N'000
24 Borrowings				
<i>Secured -at amortised cost</i>				
Bank overdraft (note ii)	73,685	23,921		
Term loan (note i)	33,026	142,280	33,026	54,034
	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>
	<u>106,711</u>	<u>166,201</u>	<u>33,026</u>	<u>54,034</u>

(i) Term loan represents a cash backed loan facility of N80million granted by First bank, the facility has a tenor of 24 months at an interest rate of 5%

(ii) The company has an overdraft facility of GH¢700,000 with Zenith bank to finance early redemption of maturing obligations and other operating expenses. Interest rate is at 21% per annum. The overdraft is secured with lien over an amount of GH¢800,000 deposit account with Zenith Bank.

Movement in overdraft facility and term loan				
	Group		Company	
	30-Jun-22 N'000	31-Dec-21 N'000	30-Jun-22 N'000	31-Dec-21 N'000
At 1 January	166,201	452,799	54,034	252,759
Additions	-	80,000	-	80,000
Transaction cost	-	-	-	-
Interest expense	-	10,469	-	10,469
Repayment	(59,490)	(377,067)	(21,008)	(289,194)
	<u>106,711</u>	<u>166,201</u>	<u>33,026</u>	<u>54,034</u>
At 30 June				
	<u>106,711</u>	<u>166,201</u>	<u>33,026</u>	<u>54,034</u>
25 Tax payable				
	Group		Company	
	30-Jun-22 N'000	31-Dec-21 N'000	30-Jun-22 N'000	31-Dec-21 N'000
<i>Company income tax payable:</i>				
At 1 January	615,741	632,980	582,882	600,123
Charge to profit and loss	15,929	35,265	-	35,265
Transfer of liabilities upon liquidation	-	-	-	-
Foreign exchange difference arising from translation	(3,453)	2	-	-
	<u>-</u>	<u>(52,506)</u>	<u>-</u>	<u>(52,506)</u>
Tax paid in the year				
	<u>628,217</u>	<u>615,741</u>	<u>582,882</u>	<u>582,882</u>
At 30 June				
	<u>628,217</u>	<u>615,741</u>	<u>582,882</u>	<u>582,882</u>
Current				
	<u>628,217</u>	<u>615,741</u>	<u>582,882</u>	<u>582,882</u>

**NOTES TO THE FINANCIAL STATEMENTS
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26	Deferred tax liability	Group		Company	
		30-Jun-22 N'000	31-Dec-21 N'000	30-Jun-22 N'000	31-Dec-21 N'000
	The analysis of deferred tax liabilities is as follows:				
	Deferred tax liability to be incurred within 12 months	-	-		
	Deferred tax liability to be incurred after more than 12 months	202,891	204,005	92,107	92,107
		<u>202,891</u>	<u>204,005</u>	<u>92,107</u>	<u>92,107</u>
	The movement on the deferred tax liabilities account is as follows:				
26a	At 1 January	204,005	384,482	92,107	92,107
	Tax charge recognised in other comprehensive income	-	-	-	-
	Transfer of liabilities upon liquidation of subsidiaries	-	-	-	-
	Foreign exchange difference arising from translation	(1,114)	86,212		
	Income statement charge	-	(266,689)	-	-
	At 30 June	<u>202,891</u>	<u>204,005</u>	<u>92,107</u>	<u>92,107</u>
	Non- current	<u>202,891</u>	<u>204,005</u>	<u>92,107</u>	<u>92,107</u>
26b	Deferred tax asset				
	The movement on the deferred tax asset account is as follows:				
	At 1 January	147,690	147,972	146,476	146,476
	Exchange difference adjustment				
	Foreign exchange difference arising from translation	(13)	(282)		
	Income statement charge	-	-	-	-
	At 30 June	<u>147,678</u>	<u>147,690</u>	<u>146,476</u>	<u>146,476</u>
	Non- current	<u>147,678</u>	<u>147,690</u>	<u>146,476</u>	<u>146,476</u>
27	Share capital				
	Ordinary Shares	30-Jun-22 Number	31-Dec-21 Number	30-Jun-22 Number	31-Dec-21 Number
	Authorised share capital ('000)	<u>30,000,000</u>	<u>30,000,000</u>	<u>30,000,000</u>	<u>30,000,000</u>
		N'000	N'000	N'000	N'000
	Paid up share capital of 20.585 billion ordinary shares of 50 kobo each	<u>10,292,500</u>	<u>10,292,500</u>	<u>10,292,500</u>	<u>10,292,500</u>
	Number of shares	30-Jun-22	31-Dec-21	30-Jun-22	31-Dec-21
	Shares at the beginning of the year('000)	20,585,000	20,585,000	20,585,000	20,585,000
	Paid up during the year ('000):	-	-	-	-
	At 30 June	<u>20,585,000</u>	<u>20,585,000</u>	<u>20,585,000</u>	<u>20,585,000</u>
	Share premium	30-Jun-22	31-Dec-21	30-Jun-22	31-Dec-21
		N'000	N'000	N'000	N'000
	At 1 January	14,365,133	14,365,133	14,365,133	14,365,133
	At 30 June	<u>14,365,133</u>	<u>14,365,133</u>	<u>14,365,133</u>	<u>14,365,133</u>
28	Contingency reserves				
	At 1 January	1,903,181	1,684,639	1,854,545	1,570,986
	Transfer from retained earnings	115,599	218,542	37,946	283,559
	At 30 June	<u>2,018,780</u>	<u>1,903,181</u>	<u>1,892,491</u>	<u>1,854,545</u>

In accordance with the insurance act, a contingency reserve is credited with the greater of 1% of total premiums or 10% of net profit. This shall accumulate until it reaches the amount of greater of minimum paid-up capital or 50 percent of net premium

29	Retained earnings	Group		Company	
		30-Jun-22 N'000	31-Dec-21 N'000	30-Jun-22 N'000	31-Dec-21 N'000
	At 1 January	(34,276,923)	(36,431,260)	(32,421,386)	(34,938,149)
	Transfer to contingency reserves	(115,599)	(218,542)	(37,946)	(283,559)
	Profit for the period	(3,808,323)	2,416,845	(3,516,569)	2,800,322
	Non controlling interest	(1,682)	(43,966)		
	At 30 June	<u>(38,202,528)</u>	<u>(34,276,923)</u>	<u>(35,975,901)</u>	<u>(32,421,386)</u>

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 JUNE 2022**

30	Fair value reserves	Group		Company	
		30-Jun-22 N'000	31-Dec-21 N'000	30-Jun-22 N'000	31-Dec-21 N'000
	At 1 January	2,625,241	5,218,054	1,616,522	4,214,472
	Gain on revaluation on land and building		84,978		10,000
	Change in value of FVOCI financial assets (net of taxes)	-	3,492,050	-	3,492,050
	Additional reserve on sales and reacquisition of PAL Pensions Limited	-	(6,100,000)	-	(6,100,000)
	Transfer to Non-Controlling interest		(69,841)		
	At 30 June	<u>2,625,241</u>	<u>2,625,241</u>	<u>1,616,522</u>	<u>1,616,522</u>
30a	Fair value changes-statement of comprehensive income				
		30-Jun-22 N'000	31-Dec-21 N'000	30-Jun-22 N'000	31-Dec-21 N'000
	Gain on revaluation on land and building	-	84,978	-	10,000
	Change in value of FVOCI financial assets (net of taxes)	-	3,492,050	-	3,492,050
	Additional reserve on repurchase of PAL Pension Limited	-	(6,100,000)		(6,100,000)
		<u>-</u>	<u>(2,522,972)</u>	<u>-</u>	<u>(2,597,950)</u>
		Group		Company	
		30-Jun-22 N'000	30-Jun-21 N'000	30-Jun-22 N'000	30-Jun-21 N'000
31	Gross premium income				
	Individual life	1,935,953	1,794,093	1,470,413	1,251,053
	Group life	1,695,007	1,509,314	1,675,725	1,489,573
	Annuity	20,869	17,057	20,869	17,057
	Takaful	325,288	286,692	325,288	286,692
	Esusu	<u>302,316</u>	<u>79,500</u>	<u>302,316</u>	<u>79,500</u>
	Gross premium written	<u>4,279,434</u>	<u>3,686,656</u>	<u>3,794,611</u>	<u>3,123,875</u>
	Unearned premium				
	Group life	(213,631)	(69,247)	(213,631)	(69,247)
		<u>4,065,803</u>	<u>3,617,409</u>	<u>3,580,980</u>	<u>3,054,628</u>
32	Insurance premium ceded to reinsurers				
	Gross reinsurance expense	(119,911)	(399,672)	(119,911)	(399,672)
	Changes in prepaid reinsurance	-	-	-	-
		<u>(119,911)</u>	<u>(399,672)</u>	<u>(119,911)</u>	<u>(399,672)</u>
33	Fees and commission income				
	Group Life	218	116,908	218	116,908
	Individual Life	-	-	-	-
		<u>218</u>	<u>116,908</u>	<u>218</u>	<u>116,908</u>

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 JUNE 2022**

34 Insurance claims and loss adjustment expenses

a Group	30-Jun-22	30-Jun-21
	N'000	N'000
Individual life	1,571,217	1,154,667
Group life	810,463	703,764
Annuity	2,159,358	2,208,680
Takaful	473,111	383,598
Esusu	333,575	1,842
	<u>5,347,724</u>	<u>4,452,552</u>
Increase in the expected cost of claims for unexpired risks	(58,566)	73,209
Claims incurred during the period	5,289,158	4,525,761
IBNR on Short term insurance contract	<u>(1,278,623)</u>	<u>(794,863)</u>
	4,010,535	3,730,898
Reinsurance	-	-
	<u><u>4,010,535</u></u>	<u><u>3,730,898</u></u>

Insurance claims and loss adjustment expenses

b Company	30-Jun-22	30-Jun-21
	N'000	N'000
Individual life	883,292	548,836
Group life	810,463	703,764
Annuity	2,159,358	2,208,680
Takaful	473,111	383,598
Esusu	333,575	1,842
	<u>4,659,798</u>	<u>3,846,720</u>
Increase in the expected cost of claims for unexpired risks	(58,566)	73,209
Claims incurred during the year	4,601,232	3,919,929
IBNR on Short term insurance contract	<u>(1,278,623)</u>	<u>(794,863)</u>
	3,322,609	3,125,066
Reinsurance	-	-
Insurance claims and loss adjustment expenses	<u><u>3,322,609</u></u>	<u><u>3,125,066</u></u>

35 Underwriting expenses

	Group		Company	
	30-Jun-22	30-Jun-21	30-Jun-22	30-Jun-21
	N'000	N'000	N'000	N'000
Acquisition cost (see note 35.1)	265,386	463,980	265,386	463,980
Maintenance cost	<u>410,886</u>	<u>354,807</u>	<u>384,982</u>	<u>321,811</u>
	<u><u>676,272</u></u>	<u><u>818,787</u></u>	<u><u>650,368</u></u>	<u><u>785,791</u></u>

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 JUNE 2022**

	Group		Company	
	30-Jun-22	30-Jun-21	30-Jun-22	30-Jun-21
	N'000	N'000	N'000	N'000
35.1 Acquisition cost				
Commission paid	265,386	463,980	265,386	463,980
Changes in deferred acquisition cost	-	-	-	-
	265,386	463,980	265,386	463,980
36 Changes in long term insurance contracts				
Changes in annuity fund	(3,838,960)	(10,482,153)	(3,838,960)	(10,482,153)
Changes in individual life fund excluding annuity	6,357,071	(1,803,224)	6,308,589	(1,831,363)
	2,518,111	(12,285,377)	2,469,629	(12,313,516)
37 Other income				
Rental income	39,346	11,205	39,346	11,205
Gain upon disposal of investment properties	-	360,000	-	360,000
Gain on disposal of PPE	-	90	-	90
Sundry charges on investment linked products	-	-	-	-
Writeback of Mortgage loans	-	-	-	-
Disposal of investment	66,989	538,689	66,989	538,689
Exchange gain	-	-	-	-
Sundry(loss)/ income	(1,889)	10,645	(1,909)	9,986
	104,446	920,629	104,426	919,970
38 Fair value gain/(loss) on financial asset				
Bonds	(224,269)	(6,916,924)	(224,269)	(6,916,924)
Quoted equities	(71,229)	(12,261)	(71,229)	(12,261)
	(295,498)	(6,929,185)	(295,498)	(6,929,185)
39 Investment income				
Interest income on cash and bank balances	16,244	69,366	1,361	46,760
Interest income on bonds	854,464	1,266,583	854,464	1,266,583
Investment income on planned asset	-	-	-	-
Dividend Income	8,082	7,893	8,082	7,893
Interest income on statutory deposit	3,684	2,105	3,684	2,105
Interest income on loans and receivables	1,465	3,607	1,465	3,607
	883,939	1,349,552	869,056	1,326,948
39a Loss from investment contract:				
	-	-	-	-
Investment income from investment contract liabilities	-	137	-	137
Guaranteed interest	(2,001)	(7,305)	(2,001)	(7,305)
	(2,001)	(7,168)	(2,001)	(7,168)
40 Impairment on assets				
Provision on due from related party no longer required (note	-	-	-	-
Mortgage and policy loans (note 10.1c)	-	-	-	-
Impairment on investment in subsidiary (see note 13e)	-	-	-	-
Investment securities (note 7.4ii)	-	-	-	-
Other receivables (note 10.1c)	-	-	-	-
Unquoted equities	-	-	-	-
Cash and cash equivalents	-	-	-	-
Short term loan	-	-	-	-
	-	-	-	-

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 JUNE 2022**

41 Employee benefit expenses

	Group		Company	
	30-Jun-22 N'000	30-Jun-21 N'000	30-Jun-22 N'000	30-Jun-21 N'000
Wages and salaries	329,410	416,116	274,223	317,109
Other Staff Cost	169,784	100,026	160,304	83,804
Defined contribution pension costs	26,904	35,877	21,365	21,018
Defined benefit pension cost	-	17,950	-	17,950
	526,099	569,969	455,893	439,881

42 Other operating and administrative expenses

	Group		Company	
	30-Jun-22 N'000	30-Jun-21 N'000	30-Jun-22 N'000	30-Jun-21 N'000
Directors' emoluments	23,195	12,250	20,300	12,250
Bank Charges	15,797	47,682	10,785	27,178
Auditors' remuneration	79,603	85,843	77,404	73,955
Depreciation	43,691	54,282	43,691	54,282
Amortisation on Rights of Use assets	7,288	4,091	5,861	4,091
NITDA	8,309	0	8,309	0
Consultancy expenses	103,534	73,183	62,294	73,020
Security	10,778	9,343	7,788	6,623
Rent and rates	12,326	24,283	9,496	12,513
General maintenance and running costs	78,452	77,584	67,756	59,315
Advert and Publicity	91,378	35,158	91,115	34,660
Telecommunications	11,199	8,621	6,801	5,163
Dues and Subscription	24,726	10,742	7,472	10,504
Travels and accommodation	105,974	110,707	105,974	104,541
Insurance supervision fees	177	0	-	-
Insurance expenses	15,095	44,366	15,090	41,310
Printing and stationeries	2,634	6,068	1,520	3,987
Industrial training fund	11,555	2,227	11,555	2,227
Entertainment	6,073	3,966	6,073	3,787
Regulatory levies	21,750	3,366	21,750	2,096
Impairment on trade receivables	-	-	-	-
Foreign exchange loss	-	-	-	-
Penalties	-	-	-	-
Lease	16,676	24,706	16,676	-
Office ICT expenses	80,387	55,923	80,387	55,678
Donation	920	0	920	-
Office cleaning expenses	10,881	7,994	10,881	7,994
Medical expenses	1,061	1,134	1,061	1,134
Other Administrative Expenses	66,182	32,501	64,764	54,819
	849,641	736,021	755,723	651,127

43 ECL Allowance on cash and cash equivalents and Financial Assets

Cash & Cash Equivalents	(14,046)	(14,632)	6,302	(13,701)
Amortised Cost-bonds	(204)	-	(204)	-
Agency Loans	(25,682)	5,960	(25,682)	5,961
Loans and Receivables	17,711	(26,182)	19,967	(25,777)
	(22,221)	(34,854)	383	(33,517)

	Group		Company	
	30-Jun-22 N'000	30-Jun-21 N'000	30-Jun-22 N'000	30-Jun-21 N'000

44 Finance cost

Interest expense on borrowings	-	8,249	-	8,249
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45 Income tax expense

Current tax on profits for the year (note 25)	15,929	5,352	-	5,352
Deferred tax charge for the year (note 26)	-	-	-	-
	15,929	5,352	-	5,352

46 Translation reserve

The movement in translation reserve during the year is shown below:		
Balance at beginning of year	(856,956)	(282,862)
Exchange difference arising on translating the foreign operation	568,101	(574,094)
Non controlling interest portion of the exchange difference	(8,866)	11,716
Balance at end of year	(297,721)	(856,956)

47 Non-controlling interest

Balance at beginning of year	143,550	39,929
Changes in fair value of FVOCI Investments	-	69,841
Share of profit/(loss)	(173,488)	48,337
Share of contingency reserve	1,682	(4,371)
Share of foreign exchange translation difference	8,866	(11,716)
Share of gain on revaluation of land and building	-	1,530
	(19,390)	143,550

48 Securities Trading Policy

The Company has in place a Securities Trading Policy in compliance with Rule 17.15 Disclosure of Dealings in issuers' shares, Rulebook of The Nigerian Stock Exchange, 2015. This policy can be found on the Company's website www.africanallianceplc.com

49 Disclosure: Impact of Covid 19

The impact of the COVID-19 coronavirus outbreak have caused a significant increase in economic uncertainty for Companies. The spread has severely impacted many local economies around the globe, businesses are being forced to cease or limit operations for long or indefinite periods of time, measures taken to contain the spread of the virus including travel bans, quarantines, social distancing and closures of non-essential services have triggered significant disruptions to businesses in the country resulting in an economic slowdown.

As a Company, our first step was to activate our business continuity and crisis communication plan to deal with the sudden emergency and ensure the offices are run seamlessly. The impact cannot be reliably measured now as the duration to containing the spread is uncertain. The Company was able to respond operationally to the event as it evolves to ensure business continues with a minimum of disruption to servicing clients as they were provided with information on how we are dealing on issues directly related to COVID-19 as well as providing education and knowledge sharing events through customers care unit communicating with policyholders through our various platforms and reiterating our online payment facilities to ease premium payment, our employees were also provided with tools to enable them work from home seamlessly. The Company is assessing the impact of the pandemic on its earnings, liquidity, solvency and other key drivers. The company has also put in measures to meet the requirements on pronouncements made by various regulators on Covid-19, however, the directors are of the opinion that despite the current pandemic the going concern of the company is not threatened as the Company as put measures in place to ensure it continue to exist into the foreseeable future in serving its customers and all its stakeholders.